

Integrated Report

2025

March 2025



FANUC

Profile

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Reporting scope/reference standards

Target period	April 2024 - March 2025 (March 2025 month) However, the importance of providing up-to-date information In view of this, regarding the organizational structure and measures Includes some information up to the time of publication.
Target organization	FANUC CORPORATION and consolidated subsidiaries
Reference guidelines	In the international framework for integrated reporting A certain International Integrated Reporting Council (IIRC) “Integrated Reporting <IR> ” and “For collaborative value creation” by the Ministry of Economy, Trade and Industry Refer to “Integrated Disclosure/Dialogue Guidance”

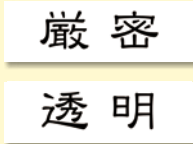
Forecast Note

Our business activities, performance, and events described in this report
Contents regarding future outlook, such as the situation, are not included in this report
Contains judgments and material assumptions based on information available at the time of publication

I am.

These forward-looking statements are subject to various risks
and uncertainties, and actual results may differ from these forecasts
It can be very different. Therefore, this
Please refrain from relying entirely on these forecasts
Thank you. We may provide new information, future events or
Even if other facts become clear, these
We do not assume any obligation to change the outlook.

Basic philosophy



“Strictness” and “transparency” are FANUC's basic principles.

Strict

The permanence and soundness of a company are born from rigor.

Transparent

Organizational corruption and corporate decline begin with opacity.

FANUC Code of Conduct

FANUC executives and employees are

We will practice the following with our basic philosophy of "rigor and transparency."

- Maintaining a high level of ethical awareness
- Compliance with laws and internal rules
- Respect for human rights and diversity
- Realization of corporate benefits

Things that require special attention as actions that must not be done

1. Gender, age, nationality, ethnicity, race, place of birth, religion, creed, disability, sexual orientation, Discrimination based on gender identity, etc.
2. If you have a conflict of interest with the company, such as doing business with the company on behalf of yourself or a specific individual or organization, or Performing any act that appears to be such.
3. Conducting acts that violate antitrust laws, such as unfair transactions or unfair transactions.
4. Providing money, gifts, entertainment or other benefits to public servants or equivalent persons in connection with their duties.4. To provide financial benefits.
5. Unauthorized acquisition, use, or disclosure of intellectual property, personal information, etc. of the company or others.
6. Conducting insider trading based on material facts about the company, business partners, etc.
7. Performing forced labor or acts that give the appearance of forced labor.
8. Develop and disseminate technology that is environmentally friendly.
9. Providing false or misleading information to customers, business partners, etc.
10. Responding to unreasonable demands of anti-social forces, or being associated with anti-social forces
Conducting transactions with companies/individuals.

* In principle, all FANUC Group executives and employees, including subsidiaries and sub-subsidiary companies, can report to FANUC Corporation.
Establish a whistle-blowing desk.

* This Code of Conduct is common to all executives and employees (including contract employees) of FANUC Corporation and its subsidiaries and sub-subsidiary companies.

Issuance of Integrated Report 2025

Published "Integrated Report 2025" to share FANUC's value creation with stakeholders
I did.

Based on our basic philosophy of "rigor and transparency," FANUC simultaneously creates social value and economic value

Achieve this goal and aim for sustainable growth. In order to achieve sustainable improvement in corporate value,

We hope that this report will be of assistance in dialogue with shareholders and investors.

Revision of basic management policy

In December 2025, our company revised its vision, management policy, and management strategy.

Our company has formulated a vision, management policy, and management strategy in 2021 and has been promoting business activities. Shi However, the current business environment surrounding our company is accelerating industrial automation and increasing the level of environmental responsiveness It is undergoing rapid and diverse changes such asization.

Accurately grasp the risks and opportunities associated with these changes, further strengthen existing businesses and improve the ability to respond to changes In order to achieve , our company has revised its vision, management policy, and management strategy.

We will continue to operate under a new policy as "one FANUC" with the aim of achieving sustainable growth and contributing to society Promote .

Points of revision

○ The trend of automation is not limited to factories, but extends to a wide range of areas such as logistics, construction, food, pharmaceuticals, cosmetics, and agriculture.

We are expanding into major fields. In light of this change, the business area that was previously defined as the "factory automation field"

The area has been redefined to a more comprehensive concept, the "industrial automation field."

○ We have reiterated our commitment to contributing to society through business growth.

○ Posted three slogans that clearly express the important points of management policy as a message to internal and external parties

I got it.

○ The main revisions to the management strategy are as follows.

Improving quality

The commitment to quality, which has been taken for granted until now, has now been made clear as the first item in the management strategy.

I cultured it.

Customer-oriented advanced technology

In addition to proactively applying the latest control technology, digital technology, IoT/AI technology, supporting these technologies

We have specified that we will further enhance our intellectual property rights.

Supply responsibility

As a supplier of production goods, we are responsible for supplying to customers, maintaining service activities, and strengthening the supply chain

We have continued to clearly state our efforts to .

Enhancing human capital

In addition to raising the further improvement of employee engagement as one of the important issues, we also Tee & Inclusion has been newly specified.

Environmental response

Based on our past efforts, we have created a new "environmental response" item to help preserve the global environment.

We have clarified our company's stance.

Governance

Added information about improving ROE and further strengthening the governance system with the aim of increasing corporate value.

The revised parts are highlighted in light blue below.

1 Vision

Providing indispensable value to the world through constant technological innovation in the field of industrial automation

We will continue to provide services throughout the year and continue to be a company trusted by our stakeholders.

2 Management policy

In 1955, a control project team was established, and in 1956, Japan's first private NC and servo Since successfully developing the mechanism, FANUC has consistently continued to automate industries such as manufacturing.

We are pursuing .

Our goal from the time of our founding was to be a small but strong company with firm roots and the strength of a giant, competing with technology Continuing to aspire to become a company that can achieve the goal of , concentrating management resources on industrial automation, and walking straight down the "narrow path"

We strive to.

In order to realize this corporate vision, FANUC upholds "rigor and transparency" as its basic philosophy. So The persistence and soundness of a company are born from strictness, and the corruption of an organization and the decline of a company start from opacity.

There is an idea thatru.

FANUC is engaged in the FA business, which consists of basic technologies such as CNC and servo, and the robot business that applies these basic technologies.

We are developing the bot business and robomachine business. And the latest control, digital, IoT, and AI technologies

By actively applying to all fields of FA, robots, and robot machines, customers can

We will work to help you use our products more efficiently.

Furthermore, based on our origins as a supplier of production goods, as long as customers use FANUC products, we will continue to provide maintenance services.

Through these business activities, FANUC will help automate industries that are expected to expand in the medium to long term.

By further promoting , we will achieve steady growth and contribute to society.

Revision of basic management policy

3 Three slogans

“one FANUC”

FANUC's three business fields, FA, robots, and robomachines, and services are integrated to help our customers

In addition to providing total solutions to promote automation in , FANUC Group

The loop works together to serve customers around the world.

"It won't break. Let us know before it breaks. Even if it breaks, we can fix it right away."

In order to minimize downtime and improve operating rates for customers using FANUC products,

We develop products that "do not break," "notify you before they break," and "can be repaired immediately if they break."

“Service First”

FANUC provides advanced services based on FANUC's global standards anywhere in the world

By providing space, we can improve our customers' operating rates.

Management strategy

We will thoroughly adhere to our basic philosophy of "rigor and transparency" and work together as a group to promote the following measures to improve our customer

By increasing 's peace of mind and trust in FANUC and adapting to drastic changes in the environment, we aim to become an enduring company

We aim to.

Improving quality

Quality is maintained throughout the entire process, from product development and design to manufacturing and post-shipment after-sales service.

We will promote improvement and work to improve product safety, compliance with laws and regulations, and reliability.

Led by the Quality Control Headquarters, which is independent from the R&D department, manufacturing department, etc., it is a particularly important element of quality

We will work to ensure that all FANUC products comply with laws and improve reliability.

Customer-oriented advanced technology

Focus R&D investment on areas where FANUC can demonstrate its strengths in industrial automation

We will proactively develop highly competitive products and bring them to market.

In order to respond to the situation where it is becoming difficult to secure skilled workers, we are developing products with an even greater emphasis on ease of use.

Assemble.

Further promote industrial efficiency and creation of added value by proactively applying the latest control, digital, IoT, and AI technologies

Advance.

Along with this research and development, we will further enhance our intellectual property.

Supply responsibility

As a supplier of production goods, we will fulfill our responsibility to supply to our customers under all circumstances and maintain our service activities

We will work to create multiple production and service bases so that we can maintain the same Also, parts suppliers

We will also work to strengthen our supply chain, including creating multiple s and maintaining appropriate parts inventory.

Enhancing human capital

Based on the perspective that human resources are the most important for medium- to long-term growth, we strive to create a workplace that is more comfortable for employees.

We will also work on achieving this goal and further improving employee engagement as an important issue. Also, looking to the future

We will actively invest in human capital to recruit the necessary talent and strengthen employee training. This

Through these efforts, we will continue to enhance our human capital.

Accept the diversity of human resources, respect each other's individuality such as values, and enable each employee to demonstrate their diverse abilities

We can further strengthen our organization by working as a group as a whole (diversity & inclusion).

We aim for sustainable growth of the company.

Environmental response

Comply with environmental laws and regulations, energy consumption, with the slogan "Let's preserve nature and resources for the future"

Corporate activities through reduction, effective use of resources, improvement of chemical substance management, efficient use of water resources, etc.

We strive to conserve the global environment in all aspects of .

Governance

In addition to operating profit margin, ordinary profit margin, ROE, etc., market share is also considered to be an important management indicator, and comprehensively

Judge. We will also accurately understand capital costs and strive to improve ROE.

As a company with an audit and supervisory committee, we have separation of execution and management, and a board of directors with a majority of independent outside directors

We will further strengthen governance in order to sustainably improve corporate value, such as strengthening supervisory functions by .

Trajectory of value creation

Fanuc's history

FANUC's history begins with NC (Numerical Control). In 1955, Fuji Tsushinki Manufacturing Co., Ltd. started a control project.

To team was established, and in 1956 we succeeded in developing the first NC and servo mechanism in the private sector in Japan. In machine tools where positioning accuracy is important,

Automation was achieved through numerical control of what had previously been manually controlled, and in 1959, electric/hydraulic pulse motor control, the origin of servo technology, was introduced.

ta was completed and contributed to establishing the position of the NC business.

In 1972, the NC division became independent from Fujitsu Limited and Fujitsu Fanuc Limited was established. They want to grow the company into a company with a strong structure

With our passion, we have made the keyaki tree, a symbol of our company, a tree that is firmly rooted in the earth and grows robustly towards the sky.

Afterwards, in addition to improving the performance of NC and servos, we also developed NC drills and other products aimed at popularizing NC machine tools, and various productions using NC.

We have expanded our business from NC to applied products, such as the development of robots that automate work.



1955 Fuji Tsushinki Manufacturing Co., Ltd.
(currently Fujitsu Limited)
Control project
Team launched

1965 Pulse to West German Siemens
Manufacturing and sales of motors
License

1968 Development of group management system

1970 Fujitsu Ltd., Computation Control Department
's manufacturing factory was relocated from
Kawasaki City, Kanagawa Prefecture to
Hino City, Tokyo (later Fujitsu FANUC)
Ku Co., Ltd. establishment place

1971 Fujitsu Ltd., Computation Control Department
's R&D department moved to
Hino City,

Tokyo 1972 Fujitsu FANUC Corporation
established 1974 Partnered with GETTYS, DC
Servo motor development

1977 Establishment of Automation Research Institute
FANUC USA
Established CORPORATION
1978 Joint investment with Kansai Kikoshia
KOREA NUMERIC
Established CORPORATION
FANUC EUROPE S.A.
Establishment

1980 Fuji factory completed. Unmanned machine operation at night

Achieve engineering

1982 Company name changed to FANUC Corporation

Established GM Fanuc Robotics Corporation

in the U.S. through
joint investment with GM

1983 Listed on the First Section of the Tokyo Stock Exchange

1984 Head office moved to the foot of Mt. Fuji

Establishment of basic research institute

1986 Established Taiwan FANUC Co., Ltd.

In the US through joint investment with GE
GE Fanuc Automation
Establishment of Corporation

1988 Product development research institute moved to headquarters area (Oshino)

Moved to village

1989 Tsukuba factory (1st ward) completed

Laser Research Institute established

1991 Hayato factory completed

1992 The Product Development Research Institute was reorganized.

CNC Research Institute, Servo Research Institute, Ro
Bot Research Institute, Mechanical Research Institute 4
Divided into laboratories

China through joint investment with Beijing Machinery Research
Institute, Ministry of Mechanical and Electronic Industry of China
Beijing Fanuc Mechanical & Electrical Co., Ltd.
Establishment

FANUC INDIA PRIVATE
Establishment of LIMITED

GMFanuc Robotics
Corporation
FANUC's wholly owned holding
company FANUC Robotics

Corporation and its subsidiaries
Reorganized

1996 Service call center established

1997 Through joint investment with Shanghai Electric Group
Shanghai FANUC roboti in China
Established Kusu Co., Ltd.

2002 Robot cell commercialized, 720 hours free

Enables human driving

2008 Tsukuba factory (2nd ward) completed

2009 Joint venture with GE canceled

2013 Reorganized European subsidiary

Established FANUC Europe Corporation

Reorganization of Americas subsidiary

Established FANUC America Corporation

2016 Reliability evaluation building and performance evaluation building completed

Mibu factory completed

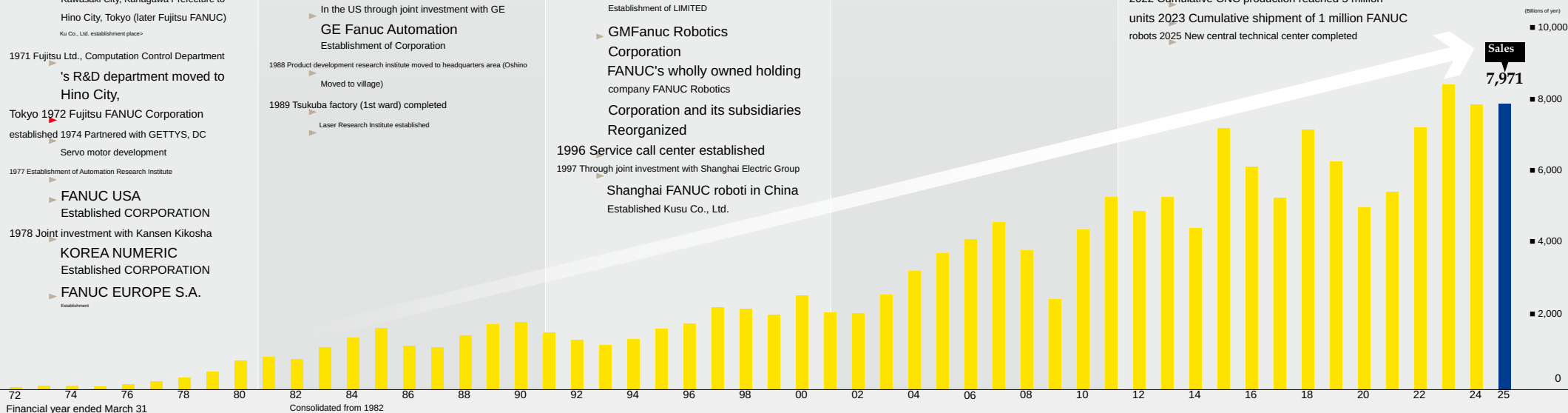
2018 Fanuc Academy established

Fanuc Advanced Technology Research Institute established

New Nagoya Service Center opened

Hino branch expansion/renovation

2022 Cumulative CNC production reached 5 million
units 2023 Cumulative shipment of 1 million FANUC
robots 2025 New central technical center completed



Overview of FANUC

FA basic products

As a basic product that realizes industrial automation CNC that controls the operation of machine tools using numerical information We are dealing with and servos that control speed and position S. In product development, we focus on energy saving and safety Achieve improved performance and productivity through improved performance I am.



ROBOT application products

Application of basic CNC and servo technology to freely control the arm Automate various tasks with . 3K (Dangerous, Dirty, Tight)
i) Improving the working environment by freeing workers from work and long hours
Contributes to improving and stabilizing product quality through stable continuous production.
Also, due to the development of robots that work in collaboration with humans, it will decrease
We supplement the workforce and contribute to the maintenance and growth of factories around the world.



ROBOMACHINE applied products

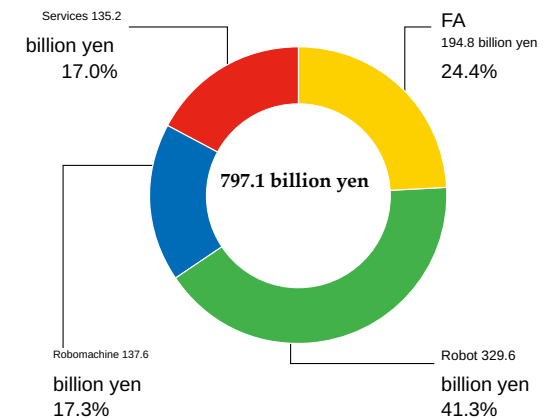
A small cutting machine that applies basic CNC and servo technology
We are developing electric injection molding machines and wire electrical discharge machines.
Customer's profits by pursuing machining performance, operation rate, and ease of use
Contributes to improved productivity.



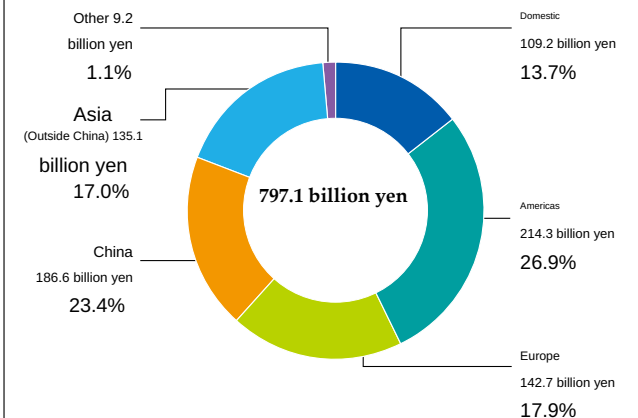
Sales composition ratio

(Fiscal year ending March 2025)

Sales by business



Sales by region



Customer support system

FANUC provides full support to customers in over 100 countries from over 280 service locations around the world.

In Japan, we have two core service locations: Hino City, Tokyo and Komaki City, Aichi Prefecture. Each location has a call center, parts center, and overseas maintenance parts warehouse to provide even more complete services. It's possible.



FANUC America



FANUC Europe



BEIJING-FANUC



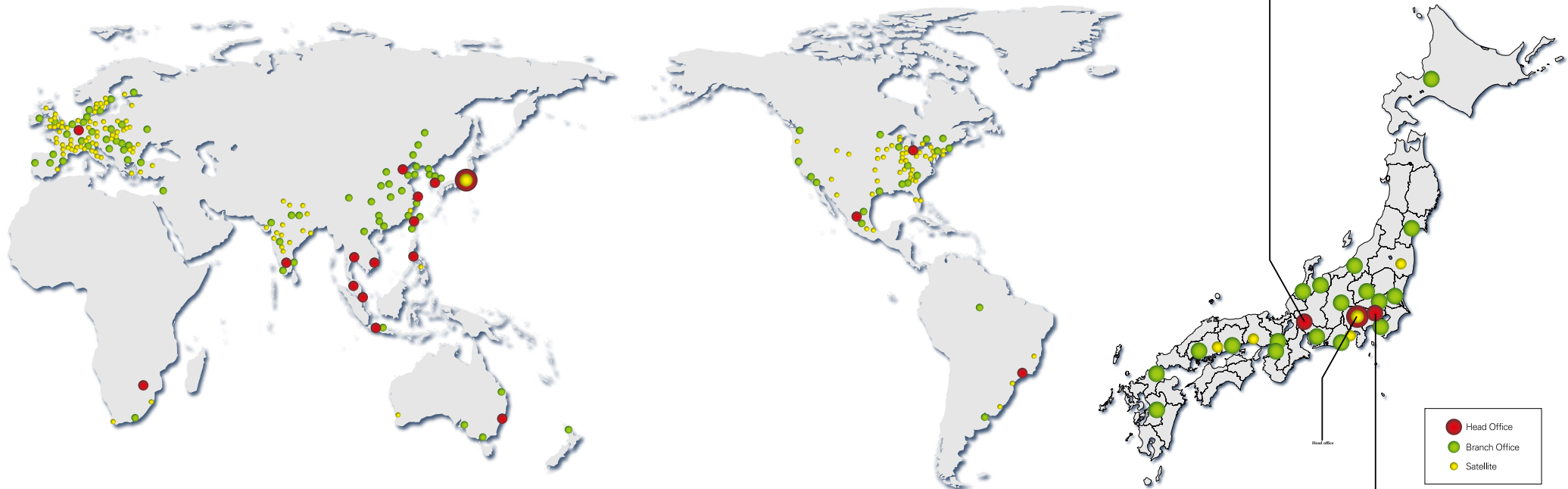
SHANGHAI-FANUC Robotics
SHANGHAI-FANUC ROBOMACHINE



TAIWAN FANUC



Nagoya Service Center



KOREA FANUC



FANUC INDIA



FANUC THAI



FANUC INDONESIA



FANUC SOUTH AFRICA

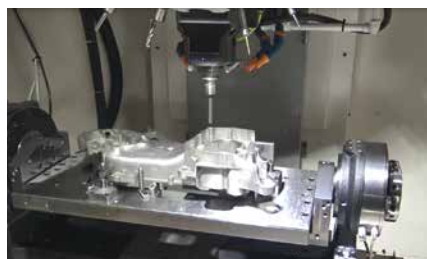
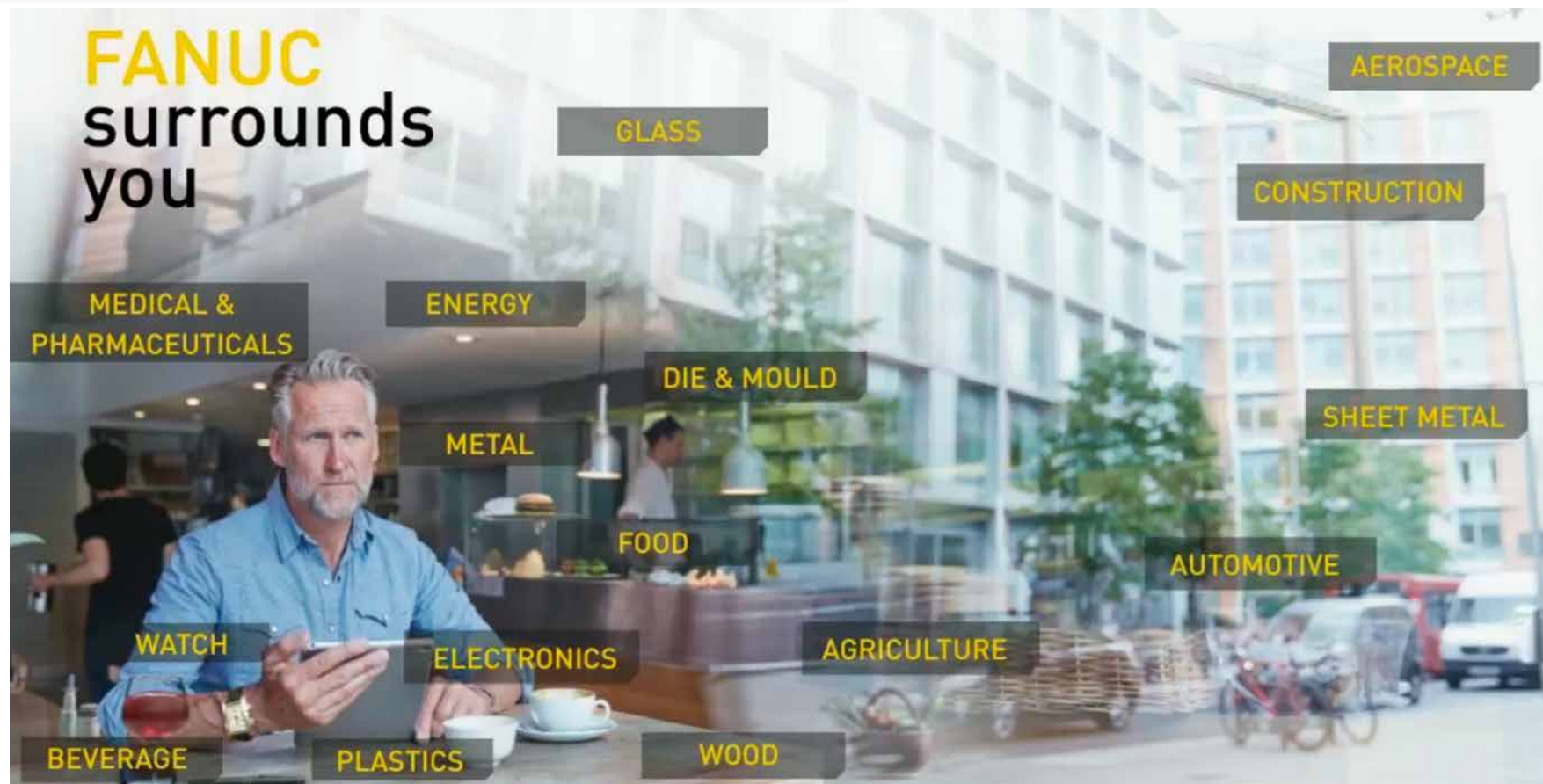


Hino Branch

FANUC supporting industrial automation

Products related to FANUC that are abundant in everyday life

Our daily lives are filled with many products related to FANUC. FANUC products are used in a variety of fields.



Parts processing with Robodrill



Transportation by robot



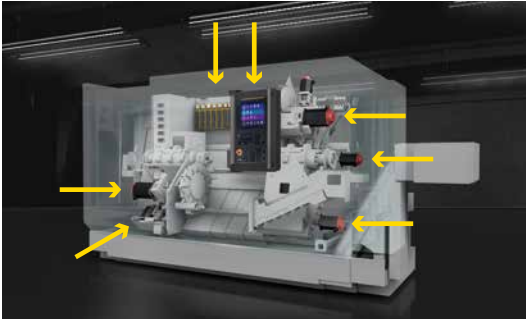
Robotic welding



Resin molding with Roboshot

FANUC supporting industrial automation

Installed in machine tools around the world



Internal image of machine tool



Machine tool exterior image

FANUC's history begins with NC (Numerical Control). In 1955

A control project team was established at Fuji Tsushinki Manufacturing Co., Ltd.

In 1956, we succeeded in developing the first civilian NC and servo mechanism in Japan. Since

We are consistently pursuing the field of industrial automation. FANUC's basic techniques

FA business consisting of CNC and servo technology, and robots that apply these basic technologies

With the three pillars of the robot business and the robomachine business, FANUC is a leader in the manufacturing industry both domestically and internationally.

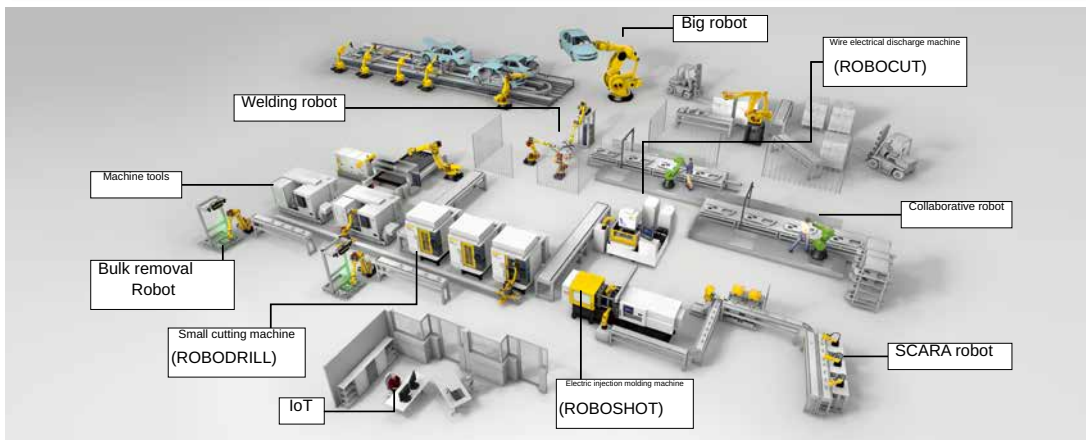
Contributing to the exhibition. FANUC's CNC, servo motor, and servo amplifier are engineered

Incorporated inside the machine tool. FANUC processes efficiently and safely

We carry out research and development every day to enable work. FANUC's FA products are available all over the world

It is installed in machine tools in China and is used in a variety of fields.

FANUC products essential for manufacturing sites



Now, let's take a look at the automobile production line.

Machine tools and Robodrills for parts processing, robots for assembly, transportation, and welding, and resin molding

Roboshot is used for , and Robocut is used for mold processing. World manufacturing status

FANUC products are essential to the event.

Supporting industrial automation

FANUC offers a variety of products to support industrial automation.

By connecting all production equipment at the manufacturing site and consolidating information, we aim to improve productivity and create a factory that never stops.

FANUC will continue to provide indispensable value to the world through constant technological innovation in the field of industrial automation.

Financial and non-financial highlights (for the year ended March 31)

Financial Highlights

(million yen)

Financial year ended March 31	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Sales	623,418	536,942	726,596	635,568	508,252	551,287	733,008	851,956	795,274	797,129
EBITDA	236,673	179,747	263,794	203,006	134,263	157,616	230,317	240,548	190,920	205,294
EBITDA margin (%)	38.0	33.5	36.3	31.9	26.4	28.6	31.4	28.2	24.0	25.8
Operating profit	215,567	153,217	229,604	163,297	88,350	112,514	183,240	191,359	141,919	158,846
Operating profit margin (%)	34.6	28.5	31.6	25.7	17.4	20.4	25.0	22.5	17.8	19.9
Net income attributable to owners of parent company	159,700	127,697	181,957	154,163	73,371	94,012	155,273	170,587	133,159	147,557
設備投資額	113,315	83,207	116,110	133,106	70,478	18,553	41,101	53,095	52,464	40,136
減価償却費	21,106	26,530	34,190	39,709	45,913	45,102	47,077	49,189	49,001	46,448
研究開発費	34,567	42,331	52,956	56,162	51,315	46,949	49,970	51,941	49,813	46,666
総資産	1,512,895	1,564,769	1,728,227	1,625,340	1,512,499	1,625,191	1,783,964	1,873,536	1,926,037	1,937,031
純資産	1,334,910	1,369,457	1,467,630	1,445,146	1,362,865	1,435,554	1,549,879	1,627,555	1,719,200	1,739,890
ROE (%)	11.8	9.5	12.9	10.6	5.3	6.8	10.5	10.8	8.0	8.6
配当金 (¥)	490.07	395.18	563.20	1,003.11	300.00	294.07	485.70	535.66	84.14	94.39
配当性向 (%)	60.0	60.0	60.0	126.1	78.6	60.0	60.0	60.0	60.0	60.0

○EBITDA マージン＝EBITDA／売上高 ROE＝当期純利益／自己資本（期中平均）

*As of April 1, 2023, we will conduct a stock split at a ratio of 1 common stock to 5 shares. From the fiscal year ending March 2024, the dividend per share after the stock split is stated.

Non-financial highlights

Financial year ended March 31	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Number of employees (people)	6,327	6,738	7,163	7,866	8,164	8,256	8,675	9,432	9,970	10,113
Non-consolidated female employee ratio (%)	7.3	7.1	7.3	7.2	7.4	7.3	7.1	7.7	7.5	7.8
Ratio of female managers (%)	—	—	—	0.9	1.0	1.0	1.4	1.1	1.1	1.1
Greenhouse gas emissions (total/t-CO2)*										
Scope1	7,189	7,864	14,254	25,213	34,875	47,059	52,804	58,001	56,266	53,436
Scope2	80,916	95,516	112,524	108,564	91,639	107,208	92,625	77,296	69,392	68,198
Scope3	—	—	—	2,414,479	1,824,212	18,134,472	25,933,100	28,069,157	17,096,789	21,207,419

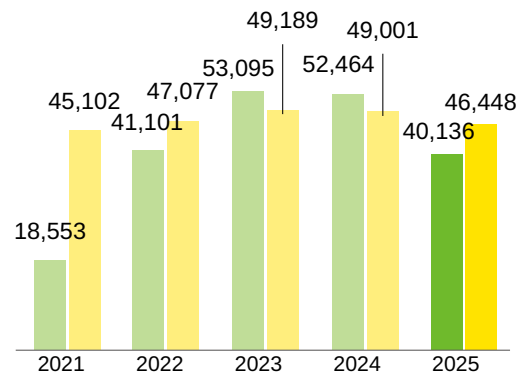
*From 2021, the boundaries of calculation will be expanded to include FANUC Corporation and its domestic and overseas consolidated subsidiaries, and the scope of Scope 3 calculation will be expanded to include all products.

Financial and non-financial highlights (for the year ended March 31)

Capital investment amount/depreciation cost

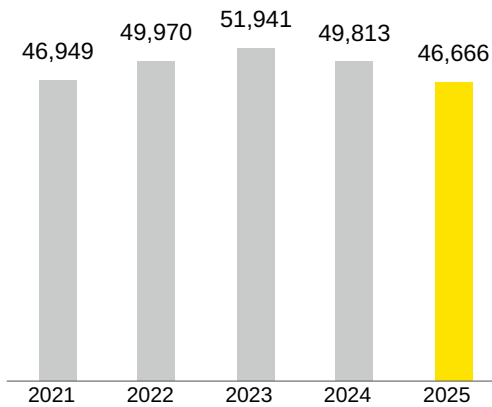
(Unit: million yen)

■Capital investment amount ■Depreciation cost



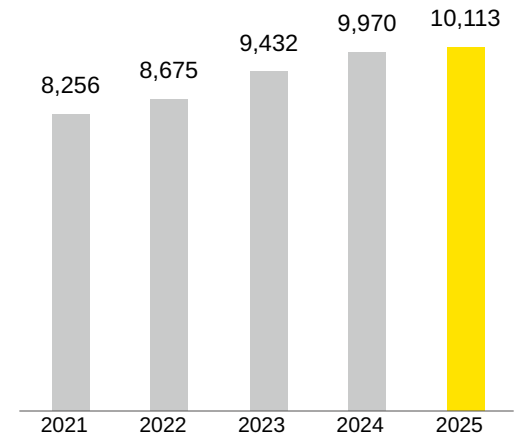
Research and development expenses

(Unit: million yen)



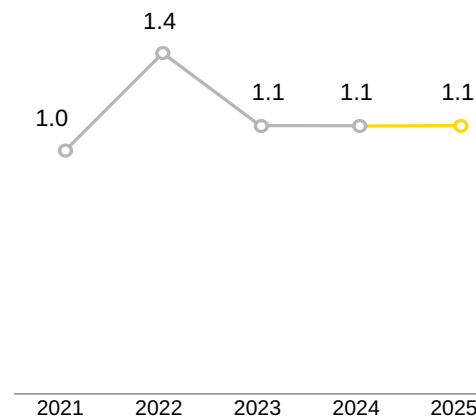
Number of employees

(Unit: person)



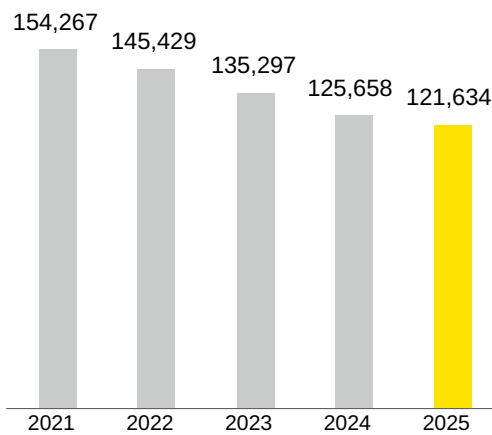
Ratio of female managers (non-consolidated)

(Unit: %)



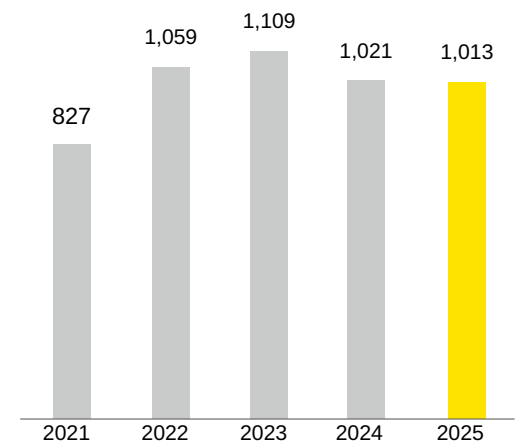
GHG emissions (Scope1+2)

(Unit: t-CO2)



Water usage*

(Unit: thousand m3)



*From 2021, the boundaries of calculation will be expanded to include FANUC Corporation and its domestic and overseas consolidated subsidiaries.

Four strengths that support FANUC's business



Basic stance in business development

Our industry is in the equipment industry, so we are less affected by economic fluctuations and changes in companies' appetite for capital investment.

I will accept it. As the economy worsens, it is inevitable that demand for products will decline to some extent. Our company

's business activities require financial discipline that takes into account the risks involved. Recent US-China trade friction and coronavirus

In response to the disaster, we suppressed investment in production equipment because sales fell more than expected;

Even if we resume operations after a period of capital investment, we may not be able to catch up with the flow of appetite for capital investment, so we are always looking for medium- to long-term trends

We need to keep our eyes on the future.

In the 2010s, there was a huge demand for RoboDrills for some IT industries, and a large peak occurred every few years

came and we were able to capture the demand. However, it is difficult for similar demand to continue for a long time, so

If we maintain a production system that specializes in Bodrill, we will not be able to meet the demand for robots and FA, which is expected to increase in the future.

We decided to increase the production capacity of robots and CNC while reducing the production capacity of Robodrill.

I did. For this purpose, the existing factory alone is not enough, so we will build a large production building, and also deal with earthquakes and heavy snow.

Mibu as a second CNC production base in Tochigi Prefecture as a BCP (Business Continuity Plan) in preparation for natural disasters such as

In addition to constructing the factory, we have also established a system for assembling robots in the headquarters area and Tsukuba area. This

We have made investments to expand our production bases into multiple locations and increase production capacity, which has led to the current results.

Four strengths that support FANUC's business

Business model core/ Starting point

Positions industrial automation
as its specialty
Specialize there

Our business model is CNC and servo motor
The basic product is "FA (CNC system)" consisting of data
The applied products include "robots" and "Ro
Bomachine (small cutting machine, electric injection molding machine,
Develops, manufactures, and sells wire electrical discharge machines.
Masu. Industrial automation by providing these products
Positioning tion as one's specialty, and focusing on
We are developing a business.

A major feature of production is that each product is produced domestically
One point is that almost everything is produced at the factory.
By centralizing domestic production of standardized products,
Maintaining quality and increasing efficiency and automation of production lines
Achieved.



Head office factory

Product lineup & services provided

Highly reliable and high performance products
Lifelong maintenance based on
the spirit of "Service First"

Market position

Cannot be imitated by other companies
Position
Established globally

Growth scenario

While ensuring economic growth
Required products and technologies
Continue to produce
Strive to improve corporate value

In terms of profitability, securing profits at the design stage
We place emphasis on . Standardize and commonize as much as possible

Modularization allows use of cheaper parts

Una design, conscious of efficiency through automated production

Profit by making steady efforts such as designing

This is leading to profits. and continuous technological innovation

Always be aware of this, and do not rely on engineers' complacency.

We are striving to improve our technical capabilities in order to sell well.

Our company is working in an industry that is expected to continue to grow

Narrowing down business to automation field

With world-class competitiveness in this field

We will do our best to maintain and further improve

Masu. Take advantage of your strong knowledge of the factory floor

Specializing in industrial automation

A big reason.

We live in an uncertain and increasingly unstable world

In , we will continue to deviate from the axis

Narrowing down to the industrial automation field,

Continue to create products and technologies needed by customers

We will work to further improve our corporate value.

FA is for machine tool manufacturers
Passed as a unit, this
Machine tools incorporating
Introduced by the end user.



Robots and robomachines
The end user's production equipment
Introduced directly as a provision.



Palletizing



Vehicle body assembly



Cutting of large parts

80% to 90% of FANUC's products are installed overseas, with a high percentage being in the automobile-related industry

In particular, robots are used in construction machinery, IT-related products, food, pharmaceuticals, cosmetics, and other non-automotive-related products.

So-called "general industries" are increasing. Recently, there is a need for robots in the logistics industry as well.

Increasing. And the product's high reliability and ease of use, "Service First" and "lifelong maintenance"

We have been supported by many customers for many years and have built a position that cannot be imitated by other companies

Masu.

Service First



Top message



Meeting the growing demand for industrial automation worldwide
Supporting manufacturing that enriches society
We strive to solve social issues and improve corporate value

Kenji Yamaguchi, Representative Director, President and CEO

Pursuing automation based on the values inherited since our founding

Today, the demand for automation at manufacturing sites is increasing like never before. Advanced

Not only in countries but also in countries and regions where the population is increasing, the shortage of human resources to work in factories is becoming serious, and without automation,

We are realizing that it is becoming difficult to carry out production activities that enrich society. The purpose of automation is also labor

The city is not only lacking in power, but also taking various measures such as measures against environmental impact and passing on technology to the digital native generation.

Competition among companies is also intensifying as the market expands.

Fanuc was founded in 1955 and succeeded in developing the first NC (numerical control unit) and servo mechanism in the private sector in Japan

Since then, we have continued to pursue factory automation.

We strive to be a "company that is small in stature but has the strength of a giant with firm roots," moving into a competitive field

Top message

With the focus on narrowing down the FA business, which consists of the basic technology of NC and servo, the robot that applied the basic technology

We are developing the bot business and robomachine business. Combining digital technology and IoT/AI technology in these three fields

Using our combined core technologies as strengths, we are providing solutions tailored to customer needs.

In order to realize the corporate image we aim for, the values that have been cherished throughout the ages are reflected in our basic philosophy of "Strict and transparent." The background behind these words is that "The permanence and soundness of a company are born from rigor, and the organization's corruption,

There is an idea that the decline of a business begins with opacity. Although it is simple, the way of organization

These words capture the essence of , and it is by no means easy to keep putting them into practice. Thorough philosophy

Flaws and problems may occur.

The surrounding business environment has changed significantly, and expectations for our company to help solve social issues are increasing

Now is the time to understand the true meaning of our fundamental principles and to return to them.

"Three slogans" to build competitive advantage and expand the market

Based on "rigor and transparency," we will work together as a group to earn the peace of mind and trust of our customers

There are three slogans.

The first one, "one FANUC," is a combination of three businesses and services: FA, robots, and robomachines.

In addition to providing total solutions to promote customer automation, FANUC worldwide

We aim to make the most of our company's strength of working together as a group to serve customers around the world

means. After adopting our products in the country/region where your head office is located, you can simply introduce them to your overseas bases

Instead, there are increasing cases where people are hired at overseas locations and then hired in the country where their headquarters is located or at other overseas locations.

We will strengthen our contribution to our customers from a more global perspective.

The second is "It won't break, we'll let you know before it breaks, and if it breaks, we can fix it right away." Our products are available at the manufacturing site.

Produced goods for use. Based on this basic idea, customers who use FANUC's products

In order to minimize time and improve operating rates, we use the latest IoT/AI technology in product development for prevention

We are promoting the establishment of maintenance functions, improvements in manufacturing efficiency, maintainability, and module design. Ko

By thoroughly sticking to a development attitude, we can reduce not only the initial cost at the time of product introduction, but also future maintenance

Competitiveness in terms of total cost of ownership (TCO) including cost was highly evaluated

I'm here.

The third is "Service First." We have more than 280 locations around the world and a presence in more than 100 countries

We provide high quality maintenance services and thoroughly believe that service and sales go hand in hand

Masu. Providing advanced services based on FANUC's global standards anywhere in the world

By doing so, we can improve our customers' operating rates. "Lifetime maintenance" that continues as long as the customer continues to use it

This is a great strength that no other company can match.

As competition intensifies globally, how should FANUC leverage its strengths? It has been inherited

Based on values and a unique business model, each employee embodies competitive advantage with an awareness

I believe it is important to move forward.

In fiscal 2024, we achieved increased sales and profits. Inventory adjustments have largely been resolved

Looking back at fiscal 2024, there are uncertainties such as the impact of inflation in Europe and the US, and concerns about the future of the Chinese economy.

As the situation continues, we will develop new products and new functions to increase competitiveness, improve production efficiency to improve productivity,

We achieved increases in sales and profits by proceeding with the introduction of new equipment for new products. The exchange rate also provides a tailwind,

Another positive factor is that the overstock issue, which had been an issue since the second half of FY2022, has generally returned to an appropriate situation

I used it.

Consolidated earnings forecasts for the fiscal year ending March 2026 are based on "careful assessment of the impact of tariffs in the United States, etc."

We plan to disclose our consolidated financial results forecast in July as soon as it becomes possible to make a concrete calculation."

I did. The forecast figures are based on a 15% tariff rate, and the cost increase due to tariffs will be passed on to the price.

We are taking steps to gain the understanding of our customers. Then, in October, we looked at the latest performance trends, etc.

Top message

In addition, we have revised our consolidated earnings forecast upward, and are expecting an increase in sales and profits compared to fiscal 2024.

As for the impact of tariffs, initially there was a tendency to refrain from capital investment due to uncertainty about the future. With labor shortages continuing in the United States, companies with sufficient funds are making capital investments. It ised. In addition, in the long term, the U.S. manufacturing industry will be revitalized, which will have a positive impact on our business. I think of it as something to bring.

The possibility of future robot production in the United States is determined by not only price, but also delivery time and customer satisfaction. We consider various factors comprehensively and ultimately consider the choice that provides the most value for the customer. I will continue. We have been developing and producing painting robots in the United States for many years, and we have been developing and producing painting robots locally. Since the procurement network is in place, we believe that a certain level of local production of other robots will be possible. I am.

Based on CNC/robot technology, applying digital technology and AI/IoT.

Aiming to optimize the entire factory

Some people used to argue that factory automation would take away people's jobs, but now automation. It is thought that this will fill in the shortage of workers and change the nature of work. Human resources responsible for manufacturing in the future. Competition for acquisition is intensifying, and the shortage of engineers who can build automation is becoming a serious issue. At our company. By improving the ease of use and performance of our products, we aim to improve energy efficiency, reduce labor shortages, and improve well-being. We are accelerating our efforts to solve social issues. Acquiring human resources who can handle these initiatives. In addition to improving the performance and functionality of individual machine tools and robots, we also utilized digital technology and IoT. We aim to make it easier for people to work and optimize the entire factory.

Continuing from 2024 in the FA sector, CNC "FANUC Series 500i-A" and "αi-D Series" servers. We are focusing on Bo's proposals. The 500i-A naturally controls the machine tool and provides easy-to-understand operation.

Aiming for improved machinability, we have reviewed the functions of the machine tool itself to improve its efficiency from the design stage, and have achieved actual machinability.



We are thoroughly pursuing improvements in performance and ease of use in machine tools. Utilize digital twin to realize. It is also important to realize a highly accurate simulation that allows you to see the condition of the machined surface before cutting. Characteristics.

"αi-D" is the latest magnetic material for servo motors, spindle motors, and the amplifiers that drive them. In addition to using stones and power semiconductors, we have newly designed magnetic circuits and current control circuits, resulting in significant energy efficiency. Achieved up. It also leads to energy savings for our robots and robot machines equipped with it. is also a big advantage.

In the robot sector, the collaborative robot "CRX series" is attracting attention. No safety fence. Easy to install and easy to use with direct teach that does not require complicated programming.

Top message

A robot for processes that could not be automated until now, from customers who are tackling automation for the first time Demand is increasing in a wide range of customers and markets, including veteran users who are working on CRX series 's" is expanding its range of applications with the addition of a variety of applications and new models.

The world's first explosion-proof collaborative robot that complies with international standards is being introduced to major manufacturers.

S. The robotization support software "ROBOGUIDE" optimizes the operation of the robot system and also contributes to energy conservation.

In addition, the physical AI announced at the International Robot Exhibition in December 2025 is compatible with open platforms

Please also pay attention to the latest technologies such as .

In the Robomachine division, we pursue energy saving, high speed, high precision, and high efficiency, and we We have developed a new model DC series and a new Roboshot model SC series. Especially in Robocut We are focusing on high precision machining. Robomachine competition using various AI functions such as AI thermal displacement correction function We are also working on strengthening our capabilities.

As for services, diagnosis using AI and IoT is based on the theme of "services that aim for unstoppable factories"

Service "AI Servo Monitor", robot "ZDT", "remote maintenance", useful information site

We have introduced products such as "MyFANUC" at new product launches, and we are experiencing growing interest.

We will continue to be very conscious of how to incorporate cutting-edge technology into easy-to-use products and functions, and we are attracting attention

We will focus on rolling out a variety of new models and new functions in important markets.

Promoting global investment and new business creation for further growth

80-90% of our products are used overseas, and we are working to strengthen our sales and services globally.

We are actively investing in growing markets.

In the United States, the West Campus, which was completed in July 2024, will begin operations, and FANUC

We are proceeding with construction work to open Kurakademi (a training facility for customers). Since 2019, Mexico

Total investments in North America, including Canada, amount to \$250 million. In Europe, market trends are favorable

We are proceeding with the construction of new company buildings in Luko and Poland.

In China, which is a huge market, new

The head office building is contributing to business expansion, and the head office building in Bengaluru is expanding in rapidly growing India.

In addition toZhang, we are in the process of opening regional bases. Expanding base in Vietnam, where high growth potential is also expected

We are working on fulfillment.

In a market that is expected to continue to grow, we are expanding our bases and systems while keeping capital efficiency in mind.

We will strive to strengthen relationships of trust with local customers.

In terms of business fields, we will start the division in 2024 to sow the seeds of technologies and products that will become pillars in 10 to 20 years.

We have started a cross-sectional "New Business Review Project." Support the project to promote it

We are also considering creating a specialized department to .

Examples that lead to product development and business through autonomous planning even before the project begins are also starting to appear, and I feel encouraged by the growing awareness among employees. Continuously generate new business

We will work on creating a system that will allow us to do so.

Risk management for creating business opportunities

Since our business is easily affected by economic fluctuations, our business is long-term, unaffected by short-term events.

We are conscious of management from a perspective. Especially in an era of increasing uncertainty about the future, corporate activities

Strengthening risk management to deal with risks that may hinder sustainable development

Masu.

On the other hand, risks and business opportunities are two sides of the same coin. Increase the resilience (durability) as a company,

We are proceeding with risk response with an awareness of "offense" that establishes superiority.

One of these is supply chain management (SCM). Since 2019, our company has started DX Pro

Top message

Started the project, and from 2022 will be a SCM improvement overall project as one of the major pillars of "company-wide DX"

We have launched the ct and are promoting SCM reform and improvement.

The supply responsibility that our company assumes comes with a major responsibility that influences the production activities of our customers. Highly reliable product

Establishing a stable supply network creates added value in supplying and maintaining the service system that is our strength

This leads to differentiation. In view of the recent trend of fragmentation between countries, we will ensure multiple procurement sources for parts.

In addition to ensuring safety, we are also working to build relationships of trust with our suppliers.

Similarly, in response to climate change risks, measures such as the installation of solar panels are being promoted to reduce Scope 1 and 2

We are focusing on reducing Scope 3/Category 11 emissions through products that only we can provide.

Our products are used in customers' factories for a long time, and demands for energy conservation are increasing year by year.

I'm showing my love. In order to meet these needs, for example, the "ai-D series" servos use new technology.

We have achieved a significant increase in energy efficiency and have received high praise. Not only servo but also software

There is still room for control equipment, including ware, to contribute to significant energy savings.

We are promoting the development of technologies that contribute to energy conservation in all of our products, and at the same time contributing to global GHG reduction.

We plan to use this to strengthen our company's competitiveness.

Prevention of recurrence of inappropriate incidents related to RoboCut products for Europe

Promoting initiatives to strengthen governance

EMC testing of the European ROBOCUT product "FANUC ROBOCUT" disclosed on April 24, 2024

We would like to sincerely apologize to all our stakeholders for the great concern and inconvenience caused by the inappropriate incident of .

I apologize.

On November 21, 2024, the special investigation committee's investigation results report will be disclosed, and at the same time, measures to prevent recurrence will be announced

I did. Under the recurrence prevention project, various measures are being implemented and quality control will be implemented across the company as of April 1, 2025.

We disclosed the status of our efforts on March 25 of the same year, including the establishment of a quality control headquarters under the direct control of the president.

In parallel, in order for all employees to learn from this problem as their own, they were divided into small groups.

A "survey result report discussion" was held. In the future, we will continue to work with the Quality Control Headquarters, Human Resources Headquarters, and Compliance Headquarters.

The lance Committee will continue to work together to take measures to prevent recurrence.

These initiatives are reported to the Board of Directors as appropriate and are appropriately monitored. Take

To strengthen the governance of the Board of Directors, the Chairman of the Board of Directors and the Chairman of the Audit and Supervisory Committee will be appointed from June 2025

With the appointment of an outside director, the function as a monitoring board has improved. About members

The ratio of outside directors has increased to 60%, with 3 female directors (female ratio 30%) and foreign directors

Diversification is also progressing with 1 person. With a background of different expertise and backgrounds, we have a wide range of external experience

A lively discussion began based on the recommendations based on 's experience and knowledge.

In order to further enhance discussions at the Board of Directors, we also hold meetings to exchange opinions between the president and outside directors, and

We also provide opportunities for discussion among directors only. By continuing to enhance governance, we will continue to

We hope to improve corporate value in this sense.

Defining the desired human resources image to strengthen human capital

In order to increase corporate value, it is most important to enhance the human capital that is responsible for this. At our company, every

In , we conducted an employee engagement survey and based on the results, we improved work-life balance

We are proceeding with measures to achieve , but improvements have been made in areas such as increased job satisfaction and a sense of self-growth.

We recognize that there is a lot of room for.

In addition to developing educational programs such as "DX School" to promote DX, we will start from 2024

This is an employee family tour where employees and their families are invited to new product launch exhibitions. Our products are manufactured at the manufacturing site

Because it is used in , the general public does not often see it. During the tour, employees also saw their own

An opportunity to increase pride in your work by seeing the results of your work once again and explaining the products to your family yourself

It seems that it has become ameeeting. In the future, we will consider enhancing tours for job seekers, mainly students, and raise awareness of our company.

Top message



We hope to improve employee satisfaction and foster loyalty before joining the company.

Creating opportunities for dialogue is also essential to improving employee engagement. Employees and managers above the general manager Management roundtables with departments, and rounds with D&I project members and the president to promote D&I We also conducted tables and published the contents on our internal portal to share them throughout the company. From 2025 is also promoting roundtable meetings between employees and the president.

In addition to our previous basic philosophy, in fiscal 2024 we will achieve our company's vision, and each and every one of us will In order to grow as a person, we have defined the ``image of the human resources we aspire to''. Our company currently has "strong This is a combination of elements that are considered necessary for "future growth" and strengthening "mi".

Having the same vector throughout the company and deepening our understanding of the desired human resources image will lead to individual growth and a better team

We are confident that this will lead to the creation of a weaving culture. In the future, we will develop more evaluation criteria that employees can understand.

We plan to use it as a place of worship.

With the spread of "factory automation", moving to the "industrial automation field"

Factory automation is a field that is expected to grow in the medium to long term, although there are various fluctuations. World In response to the increasing demand for , the range of "factories" that we are targeting is also expanding.

In addition to the traditional mainstay machinery industry such as automobiles, aerospace, and construction machinery, and the electrical and electronic industry including IT, Growth markets and business opportunities are steadily increasing.

EVs, batteries, solar power generation, semiconductors, data centers, food, pharmaceuticals, cosmetics, medical care, etc. are growing It is cited as a long-term market and new field. In addition, logistics, centered on robots, has already become a big market, and Use is also expanding in agriculture and construction. The same goes for waste treatment, which is a venous business. General In the future, when things are made in space, this could become a market for our company.

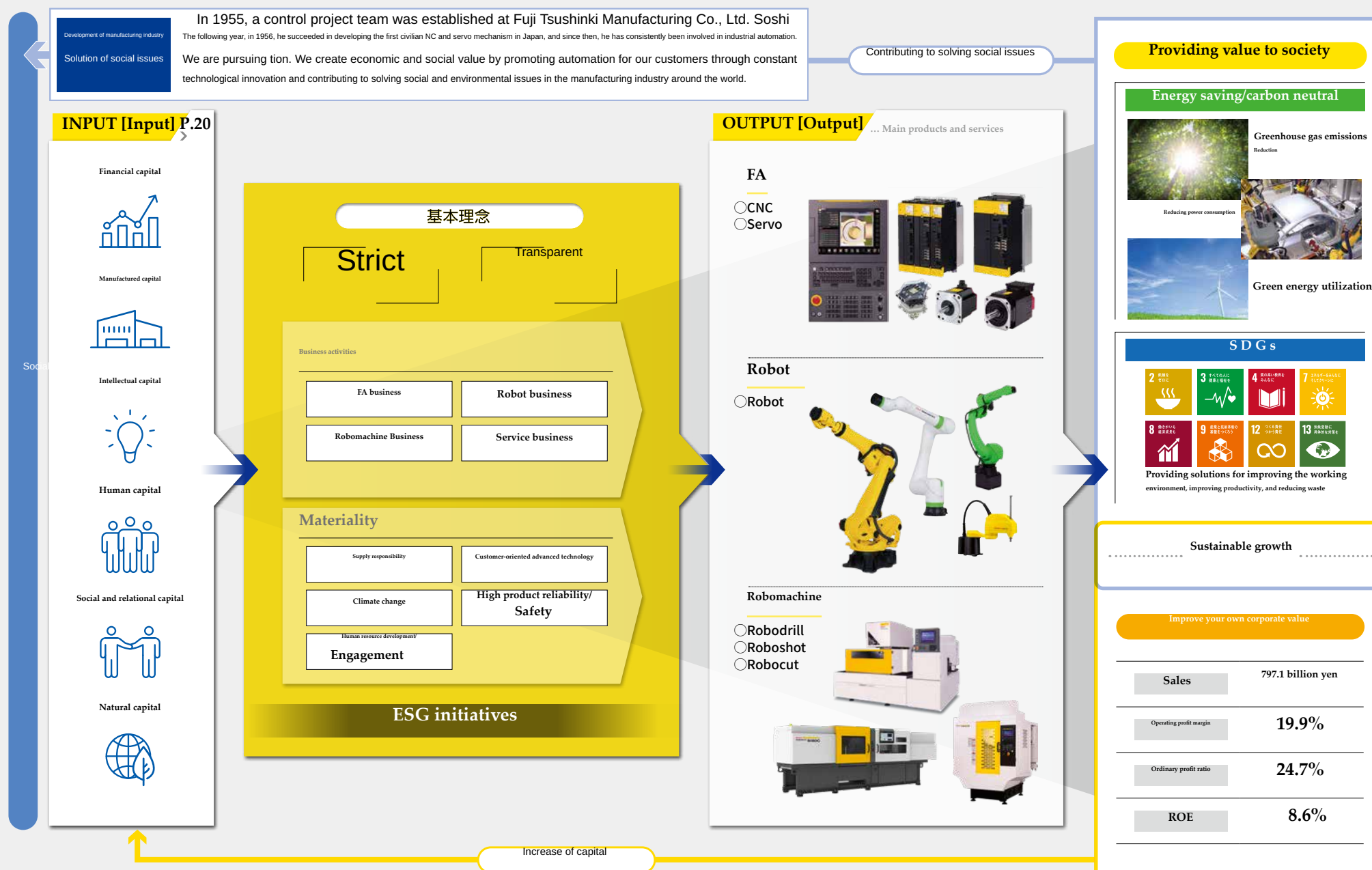
The "factory automation field" centered on the manufacturing industry will continue to be an important business area for our company remains unchanged. However, as our business area is expanding significantly, we have recently decided to mation field."

In order to gain support from customers in the automation field in a wide range of industries, we must develop highly competitive products The key is to develop, manufacture, and sell products and enhance services. I am the bearer of that It goes without saying that strengthening human capital is essential. Each employee mentioned the ``aim We aim to embody the image of human resources, achieve both personal growth and the growth of our company, and further contribute to solving social issues I have renewed my determination.

We would like to ask all our stakeholders to look forward to our company's further progress. Thank you for your continued support. Please enjoy the future of FANUC Group

Please stay tuned for movements and new developments.

Value creation process



Capital is the source of value creation

Management capital		INPUT	Characteristics/Initiatives
Financial capital		Total assets: 1,937 billion yen Operating profit.....158.8 billion yen	☐ Soundness of financial base ☐ Ensure continuous profits even in situations where economic fluctuations and companies' appetite for capital investment change Stable revenue base
Manufactured capital		Book value of major equipment...389.4 billion yen Capital investment amount: 40.1 billion yen	☐ Intensive production of standardized products in Japan (headquarters area, Tsukuba factory, Mibu factory, Hayato factory)
Intellectual capital		Number of domestic and foreign patents: 11,293 Research and development costs.....46.7 billion yen	☐ Focus our research on the field of industrial automation, where we can demonstrate our strengths Actively invest in research and development to develop highly competitive products and bring them to market ☐ Over 30% of employees are engineers
Human capital		Number of consolidated employees: 10,113 people (Non-consolidated) Female executive ratio...30.0% Foreign executive ratio.....10.0% Ratio of female executives...2.8%	☐ Creating a more comfortable workplace ☐ Further improvement of employee motivation ☐ Investment to recruit necessary human resources and strengthen employee training ☐ Health management
Social and relational capital		Global Service Network Number of service locations: 280 or more Number of countries covered: More than 100 countries	☐ Long relationship of trust with customers ☐ Maintaining an advanced maintenance service system in line with global standards
Natural capital		GHG emissions (Scope1+2)..... 121kt-CO2	☐ Reducing energy consumption through solar power generation ☐ Energy saving of products

Materiality

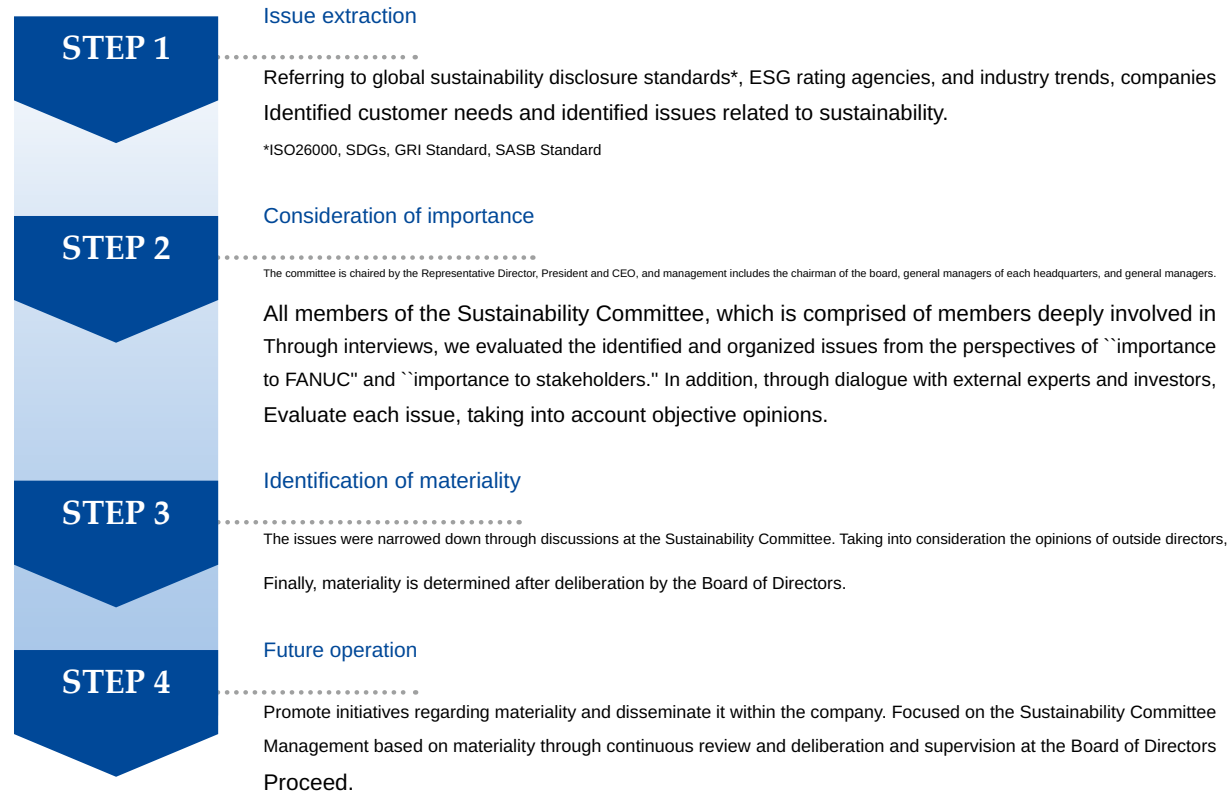
FANUC, which has consistently pursued factory automation, has a very high market share in CNC systems and industrial robots. At factories around the world, FANUC's FA, robots, and robomachine businesses Products are in operation, and a disruption in the supply of these products means that the customer's factory will be shut down. Also, do FANUC products contribute to decarbonization and productivity improvement in customers' factories, and are they important for the environment and society? It has had a huge impact.

FANUC is creating customer-oriented products and the future of industrial automation.

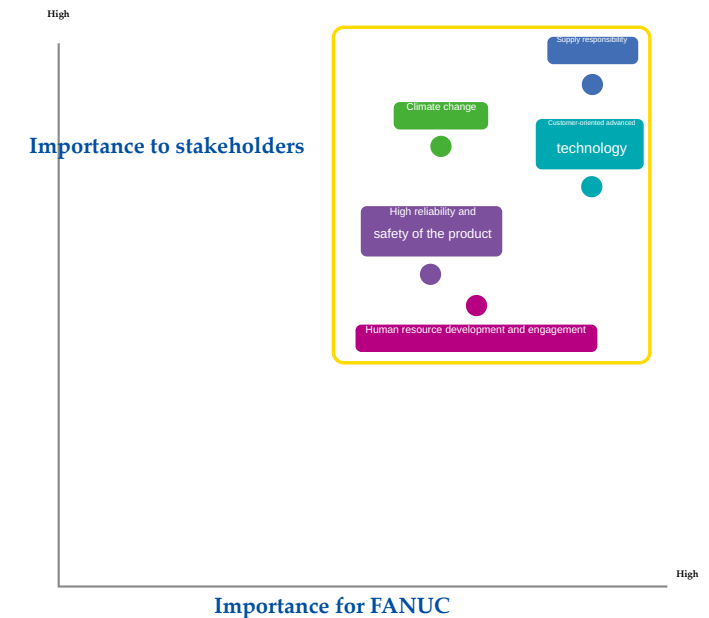
In order for FANUC to continue to grow sustainably based on our basic philosophy of "rigor and transparency," we must not be limited to short-term profits, but instead realize social and economic value at the same time, based on a longer time horizon It is necessary to manage the business. What is required is to solve social issues through business and contribute to a sustainable society.

We believe that materiality is an important axis in such management, and in November 2022, we conducted a review of materiality.

Materiality identification process



Materiality items



Materiality

Materiality

Supply responsibility

Long relationship of trust with customers

○ Why you think it's important

Very important in building trusting relationships with customers. If the supply from FANUC stops, the customer's We believe that we have a huge responsibility as this will lead to the stopping of the field. In addition, we provide protection to customers Maintaining a protective service system is a strength, and stable supply of products and services leads to added value Masu. It is important to fulfill our supply responsibilities and continue as a company that is needed by society.

○ Vision

As a supplier of production goods, we are aware of risks, including natural disasters and geopolitical risks, both within our company and at our suppliers. Assume various situations. Based on this assumption, we will stably supply products while taking environmental and social aspects into consideration. We will continue to supply and maintain an advanced maintenance service system in line with global standards. This will help improve the operating rates of factories around the world.

Customer-oriented advanced technology

Anticipating and creating customer needs

○ Why you think it's important

Customer orientation has been, and will continue to be, an important value for FANUC. Another strength is that by using the products at our own factory, we are able to quickly provide feedback for research and development. Also. Anticipating needs based on these factors will increase customer satisfaction, maintain and improve the competitiveness of products, and create the future of the manufacturing industry. Continue to maintain superiority by providing highly advanced products that support manufacturing sites with innovation It is important.

○ Vision

With thorough customer orientation, we quickly grasp customer needs. By developing and disseminating advanced technology, we will develop products that capture customer needs and changes in the times. We will continue to improve customer satisfaction and create the future of the manufacturing industry.

Climate change

Contributing to climate change mitigation

○ Why you think it's important

Greenhouse gas emissions from FANUC's business activities are outweighed by emissions from the use of our products Under these overwhelming circumstances, the need for energy-saving products is increasing from both customers and society. Contributing to carbon neutrality is essential. Through highly efficient products based on innovation By increasing productivity in factories around the world, we can reduce energy consumption for our customers.

○ Vision

Considering climate change not only as a risk but also as an opportunity, energy saving and high energy efficiency We will promote the development of excellent products that are considerate of the global environment, such as . Thereby, Carbon Neutra Contribute to the achievement of sustainable society.

High reliability and safety of products

Do not stop customer's factories

○ Why you think it's important

"It won't break, I'll let you know before it breaks, and if it breaks, I can fix it right away" are the core principles of FANUC's product development. late The high reliability of being difficult to damage contributes to improving factory productivity, so not only our company but also our customers This will improve 's competitiveness. In addition, simply protecting the operator from physical danger It is important that it is safe to use in terms of cybersecurity.

○ Vision

We maintain and improve the high quality of our products, provide thorough maintenance services, and aim to improve the operating efficiency of our customers' factories. We also aim to create a safe and secure production site.

Human resource development and engagement

Creating human resources for the future of the manufacturing industry

○ Why you think it's important

Excellent human resources are the core of corporate activities and are essential for corporate sustainability and innovation. human resources Development is an important issue that should be strengthened from a medium- to long-term perspective and leads to increased motivation Proactive and continuous efforts are required.

○ Vision

Based on the perspective that human resources are the most important for medium- to long-term growth, we provide an enriched training environment and provide motivation. We will work to further improve our performance. Acquiring and retaining excellent human resources and supporting the future of the manufacturing industry We pursue an organizational culture and climate that is suitable for the creation and enhancement of .

Business overview/current status (fiscal year ending March 2025)

FA — FA business —

Business
overview

Product **CNC, servo**

Strengths **FANUC's basic technology**
World's top share in CNC (our estimate)

The FA business is FANUC's origin and basic technology. FANUC controls the operation of machine tools using numerical information.

We were the first private company in Japan to develop NC (Numerical Control) and servos. Until then

For accurate machining with machine tools, the presence of skilled engineers who have acquired know-how through long training is essential.

Although it was indispensable, NC and servo can now complement the skills of skilled engineers. Moreover,

Using computer-controlled CNC and servos, it is possible to process complex shapes and efficiently produce different products

Now possible. Currently, we are producing everything from simple machine tools to multi-tasking machines with complex configurations, as well as industrial machines.

We have a lineup of CNC and servo that covers a wide range of .

In addition, there is an increasing number of requests for the introduction of robots into machine tools for automation and labor saving at processing sites. F

At NAC, we believe it is important to improve the compatibility between machine tools and robots, and we are developing functions to support this.



Current status
of business

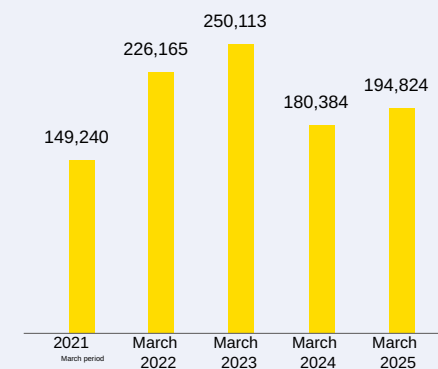
In the FA sector, although demand in the machine tool industry, which is the main customer for CNC systems, remained weak in Japan and Europe,

Sales of our CNC systems increased due to strong demand in China, where there was strong demand from industrial sectors and industries that are actively making capital investments.

Did.

Consolidated sales of the FA division were 194,824 million yen (up 8.0% from the previous fiscal year), accounting for 24.4% of total consolidated sales.

FA business sales trends (million yen)



ROBOT — Robot business —

Business overview

Product

Robot

Strengths

Equipped with basic CNC and servo
World's top class market share (our estimate)

FANUC develops industrial robots. FANUC advances customer automation and improves productivity

We are focused on contributing to improvement.

Industrial robots are used for "welding," "processing," "material handling (transportation of objects)," "assembly," "painting, etc."

It is used in a wide range of industries such as automobiles, electronic parts, logistics, food, pharmaceuticals, cosmetics, and agriculture. F

NAC's industrial robots are general-purpose robots that are used in a wide range of industries.



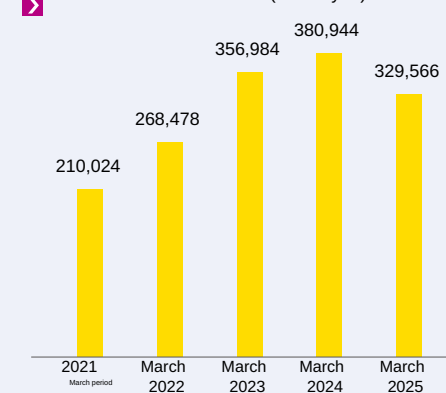
Current status of business

In the robot division, sales increased in Japan due to strong performance in both the automobile-related and general industry sectors. On the other hand, In China, sales for EV-related products, which had been strong, are on the decline, and sales for general and electronic industries are also weak, resulting in a decrease in sales. Europe and America's sales also decreased, mainly due to sluggish sales in the automotive industry.

Consolidated sales of the robot division were 329,566 million yen (down 13.5% from the previous fiscal year), accounting for 41.3% of total consolidated sales

I got it.

Robot business sales trends (million yen)



ROBOMACHINE — Robomachine business —

Business

overview

Product

Robodrill (small cutting machine)
 Roboshot (electric injection molding machine)
 RoboCut (wire electrical discharge machine)

Strengths

Equipped with basic CNC and servo

High performance, high availability, easy to use

World's top share in RoboDrill (small cutting machine) (our estimate)

World's top share in Roboshot (electric injection molding machine) (our estimate)

Products of the Robomachine business are machine tools or industrial machines equipped with FANUC's CNC and servos.

Used in the factory for production. Both have high compatibility with FANUC robots, making robot machines and robots

Combined to facilitate automation.

By using highly reliable and high-performance ROBOMACHINE products, you can improve the quality of your products and reduce processing time

This can be realized and contributes to improving factory productivity.

In addition, the ability to manage the operating status of the entire factory in real time allows for more accurate production planning and utilization rates

Improvements are possible (FIELD system Basic Package, ROBOSHOT-LINKi2, ROBOCUT-LINKi).

In addition, RoboDrill, RoboShot, and RoboCut will be implemented in the FY2020 supplementary budget energy conservation investment promotion and demand structure

This equipment is eligible for subsidy for construction conversion support project expenses subsidy. In addition, each will aim to build a decarbonized society in 2027.

It has also been certified as a subsidy-eligible facility for the Keta ESG Lease Promotion Project.



Current status

of business

For the Robomachine division, Robodrill (small cutting machine) sales increased, mainly due to strong performance in the Chinese market.

Sales of Roboshot (electric injection molding machine) increased due to increased demand in China and other Asian countries. RoboCut (wire electrical discharge machine) sales were stable.

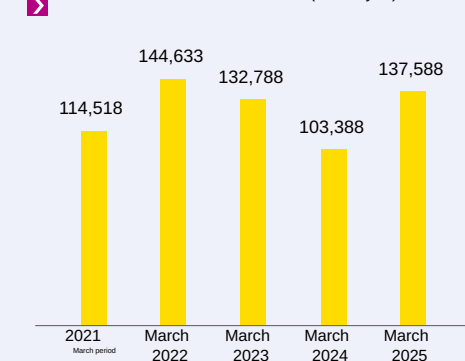
Although sales increased in the Americas, China, and Asia other than China, sales decreased in Europe.

The increase was only slight.

Consolidated sales of the Robomachine division were 137,588 million yen (33.1% increase from the previous fiscal year), accounting for 17.3% of total consolidated sales

Now.

Robomachine business sales trends (million yen)



Approach to sustainability

Basic Sustainability Policy

FANUC Group's basic philosophy is ``Strictly
In the field of industrial automation with transparency
With constant technological innovation, we have become indispensable
By continuing to provide unique value to the world, we
Pursuing improvements in business value and sustainable
We will contribute to the realization of society.



Konoha and Infini's efforts to realize a sustainable society

This is our company's symbol mark expressed as "T". FANUC is a constant technology
Through innovation, we aim to solve environmental and social issues and create a sustainable society
Contribute to realization.

Two perspectives of sustainability

1 – Energy saving/carbon neutral



Reducing greenhouse gas emissions

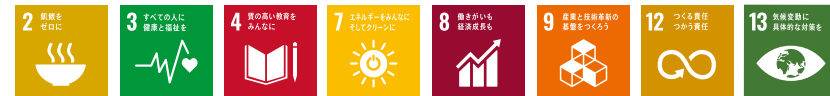


Reducing power consumption



Green energy utilization

2 – SDGs



Providing solutions for improving the working environment, increasing productivity, and reducing waste

FANUC'S SUSTAINABILITY ACTIVITIES

- Promoting various initiatives to achieve carbon neutrality
- Contribute to customers' achievement of SDGs through business activities and product functions

Sustainability promotion system

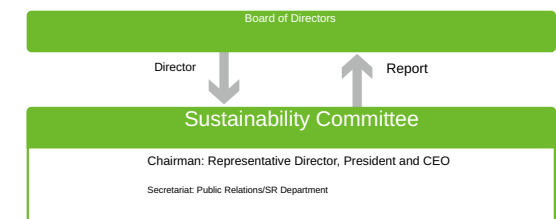
FANUC is the Representative Director, President and CEO

To the "Sustainability Committee" chaired

Important people regarding sustainability

Discusses and decides on policies and measures, and supervises

Reported to the board of directors.



Dialogue with stakeholders

Stakeholders	Communication methods	Frequency	Contents
Customer	Responsible Sales	At any time	We take requests, requests, etc. and provide feedback to the company. We also guided our customers to the factory and deepened their understanding of new products and development systems I am.
	Service	At any time	More than 2,300 service and support staff around the world handle telephone calls, customer service, and maintenance parts management.
	Member site	At any time	We respond to customer inquiries via websites where you can obtain product and maintenance information, as well as via email and chatbots. We also provide purchasing services for maintenance parts I am.
	New product announcement exhibition	Every year	We invite customers to introduce our latest products.
	Exhibition exhibition	At any time	We exhibit at domestic and international exhibitions to introduce our latest products.
	ESG evaluation	At any time	We have responded to EcoVadis, CDP, etc.
Employee	Labor union	At least twice a month	We carry out discussions, negotiations, and exchange of opinions through monthly regular meetings and committees, as well as quarterly council meetings and labor-management negotiations.
	Engagement survey	Every year	PDCA, which listens to employee voices, discovers and resolves issues, with the aim of building good relationships between employees and the company and improving engagement I'm spinning .
Shareholders	General meeting of shareholders	Once a year	Business reports, consolidated financial statements, financial statements, audit results are reported, and matters to be resolved are deliberated and resolved after a Q&A session.
	Financial results briefing	Four times a year	We hold briefing sessions and telephone conferences to discuss financial results, business forecasts, etc., and engage in dialogue through question-and-answer sessions.
	Individual interviews with institutional shareholders	At any time	We provide explanations and exchange opinions regarding our company's initiatives and governance.
	ESG Compatible	At any time	We publish our ESG activities from time to time.
Community	Coexistence with the local community	At any time	We contribute to the revitalization of the local economy by paying taxes, creating jobs, and doing business with local businesses.
	FA Foundation	At any time	This award recognizes research results related to FA (factory automation) and industrial robot technology.
	Participation in economic and industry associations	At any time	Participates in planning and implementation of each organization's measures.
	Public-private joint projects Participate	At any time	We participate in various public-private joint projects and promote technological exchange.

High reliability and safety of products. No shutting down of customer's factories.

Regarding the inappropriateness of the EMC test of the European ROBOCUT product "FANUC ROBOCUT" that was disclosed on April 24, 2024, we will disclose the investigation results report of the special investigation committee on November 21, 2024, and take measures to prevent recurrence has been published.

As part of our efforts, we established a new "Quality Control Headquarters" on April 1, 2025, in order to ensure the independence of the function that oversees compliance with laws and regulations applicable to our products. The quality control headquarters directly handles development, manufacturing, etc. Established as an independent organization from those involved in products, it plays a central role in supporting the safety, quality, and reliability of our products.

The responsibility for ensuring the safety and quality of products is not limited to the Quality Control Headquarters. Each and every employee is aware of the importance of compliance and quality and engages in daily business activities.

Thoughts and initiatives regarding safety and quality

Product quality promotion system that you can use with confidence

Quality includes various elements such as safety, legal compliance, reliability, security, and design it will be.

FANUC starts with product development and design, and builds in product quality to after-sales service after manufacturing and shipping. Promoting quality improvement activities in all processes, including services, and working to improve product quality I am.

In order to ensure the safety of our products, we comply with various safety standards. In addition, during design, hazard sources. We conduct risk assessments to identify s, evaluate risks, reduce risks, and confirm effectiveness. We also carry out risk assessment when a malfunction occurs, and evaluate the risk based on the magnitude of the harm and the frequency of occurrence. We are assessing the magnitude and determining the appropriate course of action. Regarding compliance with laws and regulations, applicable to each product. We collaborate with multiple departments to monitor trends in laws and regulations and confirm compliance.

Product reliability is based on the idea that it is built into the development stage, so it is tested through reviews and reliability evaluations. Incorporates verification and validation into the development process. We also ensure prompt resolution of problems and prevention of recurrence.

In order to achieve this goal, we have established a system in which the Research and Development Headquarters is responsible for achieving high reliability.



To ensure that these activities, especially legal compliance and reliability improvement, are implemented effectively across all of our products, we have established a quality control headquarters for independent supervision. The quality control headquarters handles all products. Company-wide quality control department responsible for cross-sectional development and promotion of , FA quality control department responsible for each product, robot quality. Comprised of the Management Department and the Robomachine Quality Control Department. Quality control headquarters ensures legal compliance. In order to , we collect the latest information, establish internal rules for laws and regulations, and witness tests to confirm compliance. We are working on audits and awareness and education to deepen the understanding of those in charge.

In addition, in order to improve reliability, we are taking measures such as analyzing product quality data and collecting and sharing lessons and knowledge. We are working together. In addition, through various regular meetings that cross departments as well as within each department, we work to improve quality by sharing information on technology, security, etc.

FANUC continues to carry out the following activities with the aim of improving and improving the quality of our products.

- Technical meeting (held for R&D Headquarters executives)
- Quality improvement meeting (held for the R&D headquarters)
- Reliability meeting (held at each R&D headquarters)
- Quality meeting (held in the manufacturing department and R&D headquarters to improve manufacturing quality)
- Reliability study session (held for research and development personnel)
- ISO9001, education on laws and standards (held for R&D and manufacturing personnel)

ISO9001

FANUC has established a quality management system based on ISO 9001 to ensure customer satisfaction, legal compliance, and commercial. We strive to ensure the safety and quality of our products. In addition, the activities of the quality management system internally to confirm and evaluate results, confirm compliance with ISO9001 and effectiveness, and make improvements. Plans and executes quality audits.

ISO9001 registration ratio (production volume basis)

Domestic	100%
Overseas	100%

High reliability and safety of products. No shutting down of customer's factories.

Internal quality audit

Independence and fairness are important for internal quality audits. In order to strengthen this point, research and development will establish a quality control headquarters that is independent of the originating and manufacturing departments, and its members will serve as auditors for internal quality control. We are conducting a survey. The Quality Control Headquarters monitors the status of compliance with laws and contracts, quality fraud, and quality defects. Extract issues that will lead to positive outcomes, consider improvement plans, evaluate the effectiveness of internal quality audits, and conclude the review Report results to the Representative Director, President and CEO, and related departments. In related departments, Representative Director and President In addition to the instructions of and CEO, we voluntarily consider improvement plans based on information from the quality control headquarters, and We are currently reviewing the rules.

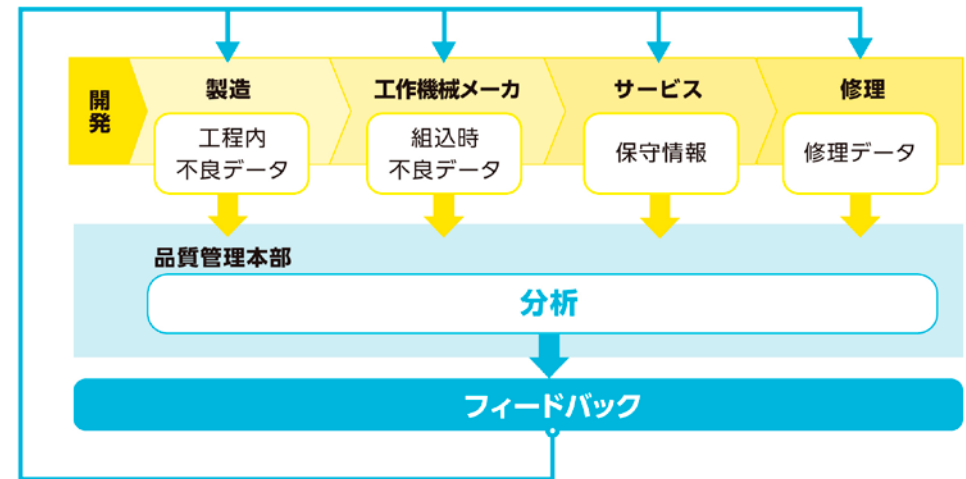
Response to laws and regulations

In order to ensure the safety of customers and local residents and to protect the environment, each country and region has implemented various measures for products. Laws and regulations exist. At our company, all products including CNC systems built into machines are We strive to comply with the laws and regulations of each country. Laws and regulations information is provided by the company-wide quality control department. The information is collected and organized, and the quality control department for each FA, robot, and robomachine product interprets the laws and regulations. Deploy to Research and Development Headquarters. Each R&D headquarters carries out legal compliance work, and the company-wide quality control department We check the legal compliance status of each product and disseminate information to the entire company.



Visualization of quality and reliability

Understand the quality and reliability status of all processes from product design to manufacturing process and after-sales service. We strive to quickly respond to problems. Analyzing the data collected through after-sales service, By feeding back the identified issues to the manufacturing department and R&D headquarters, it is effective in improving quality and reliability. Raising .



Reliability development technology

Creating a system for designing and manufacturing highly reliable products and improving the reliability development capabilities of R&D staff. We are promoting the sharing of knowledge to improve . The Quality Control Headquarters is looking at ways to improve reliability issues. We regularly examine and are working to standardize reliability development methods.

In product development, we strive to meet various requirements and build reliability at the development stage. We have established rules for this procedure as "Product Development Guidelines."

In addition, we have developed a "Fault Handling Procedure" that rules out how to deal with problems when they occur, and product security information. Established "Incident/Vulnerability Response Guidelines" as a procedure to quickly respond to incidents and vulnerabilities. I am.

Register defects and vulnerabilities in a management system that centrally manages everything from investigating causes to countermeasures. We are "visualizing" the progress of our response and are helping to prevent omissions. Management system knowledge and teachings. The lessons are used throughout the company to help build quality, improve quality, prevent defects and prevent recurrence, and help young engineers. It has been effective in educating people. Furthermore, actual products with quality defects are displayed in the reliability evaluation building. Establish a "corner to learn from defects" and use failure cases as teaching materials to educate R&D personnel. I am.

High reliability and safety of products. No shutting down of customer's factories.



Learning from defects

Reliability evaluation technology

FANUC products are exposed to extremely harsh environments as they are used at manufacturing sites. That in order to operate stably for a long period of time even in such environments, we are able to contribute to improving the utilization rate of our customers' factories.

While conducting evaluation tests in a variety of environments, we are promoting the standardization of evaluation tests.

In addition, the reliability evaluation building opened in 2016 has a total floor area of approximately 22,679 m² (103 m wide x 198 m deep).

We have a large number of facilities that allow us to thoroughly verify reliability.

This facility includes an anechoic chamber, shield room, vibration chamber, mist test chamber, variable temperature room, and variable humidity. Dedicated test rooms such as room, limit test room, noise measurement room, submersion test room, clean room, precision measurement room, etc. There are variations in data under various conditions, including confirmation of long-term reliability through accelerated life tests. We conduct a number of tests that take into account your physical condition.



Reliability evaluation building



Anechoic chamber



Mist test chamber

High reliability and safety of products. No shutting down of customer's factories.

Servo motor parts processing factory

The servo motor parts processing factory is a factory that processes parts such as shafts and flanges for various motors manufactured by FANUC. Lathe A large number of processing cells that combine FANUC robots with machine tools such as and cylindrical grinders are connected to an automated warehouse, and material supply ~ processing ~ We achieve consistent automation from cleaning to inspection to shipping.

Currently, processing was carried out at two factories, but the equipment will be consolidated at the new factory by June 2024. Consolidated in one location for better production Not only has it become smoother, but aging equipment has also been updated, and a large parts processing cell using a large FANUC robot with a 2.0 ton payload has been implemented. We worked to improve production capacity by installing a processing line with multiple FANUC Robodrills lined up. Also, the chuck jaws of the lathe We also promoted automation of setup work such as changes and supply of cutting fluid. All of these equipment are FIELD system Basic Connected to Package, the operating status of equipment is visualized, making it possible to not only understand the status but also analyze how to improve the operating rate It has become.

The new factory also took measures to be considerate of workers and the environment. Up until now, the machining factory had severe conditions with cutting fluid mist scattering. The equipment that generates mist will be placed under the exhaust vent of the factory to prevent the mist from dispersing, and ventilation within the factory will be strengthened We have created a safe environment for people and equipment on the same level as a normal assembly plant. Also, you can simply dispose of the used cutting fluid By introducing a waste liquid treatment system in the factory instead of , approximately 80% of the waste liquid can be reused as fuel oil or recycled water, making it environmentally We have created a factory that is friendly.



Processing cells connected to automated warehouse



Large parts processing cell using large robot



Processing line using Robodrill



Visualization using FIELD system Basic Package (Factory Visualizer)

Climate change Contributing to climate change mitigation

Climate change measures

FANUC has set medium- to long-term greenhouse gas emission reduction targets and is promoting initiatives to achieve carbon neutrality.

Greenhouse gas emission reduction target

2050 target	Scope 1, 2: Achieve carbon neutrality by 2050
2030 goals	Scope 1, 2: Reduce by 42% by 2030 (compared to 2020) Scope3: Reduce emissions (Category 11) from the use of sold products by 12.3% by 2030 (compared to 2020)

FANUC's GHG emission reduction target certified by SBT Initiative

Reduction targets by 2030 have been certified by the SBT (Science Based Targets) initiative.

For Scope 1 and 2, part of the electricity used in the head office area, Mibu Factory, and Tsukuba Factory is derived from renewable energy (hereinafter referred to as renewable energy electricity), and other

We also plan to switch to renewable energy at our bases.

We will also reduce GHG emissions associated with our business activities by installing solar panels and further accelerating energy conservation efforts.



FANUC head office (overview)



FANUC Head Office (Reliability Evaluation Building)



Mibu Factory

With regard to emissions from the use of Scope 3 products (Category 11), we aim to reduce emissions by further improving the energy-saving performance of FA, robots, and robomachine products.

Climate change Contributing to climate change mitigation

TCFD Information Disclosure

With the Paris Agreement adopted at COP21 (21st Conference of the Parties to the United Nations Framework Convention on Climate Change), there is a worldwide movement towards a decarbonized society

It's spreading. The FANUC Group, which operates globally, recognizes that climate change is an important management issue.

We are aware of this and are promoting initiatives.

Under these circumstances, in December 2021, FANUC responded to the recommendations of the TCFD (Task Force on Climate-related Financial Disclosures) (hereinafter referred to as TCFD Recommendations).

I expressed my approval.

We will continue to utilize the framework of the TCFD recommendations to continuously enhance the quality and quantity of information disclosure, and take steps to address climate change

We will further promote and contribute to the realization of a sustainable society.



Governance

FANUC recognizes climate change as an important management issue.

The Sustainability Committee, chaired by the President and CEO, discusses important policies and measures related to climate change.

The Board of Directors deliberates and makes decisions, and reports to the Board of Directors.

Based on the content of the report, the Board of Directors will conduct oversight to ensure that risks and opportunities related to climate change are identified and countermeasures are appropriately promoted.



Strategy

FANUC identifies risks and opportunities related to climate change and

In order to confirm the impact of

Scenarios for medium term (2030) and long term (2050) using Nario, 2°C scenario, and 4°C scenario

Analysis was performed. For scenario analysis, at 1.5°C, IEA NZE, IPCC RCP1.9, etc. 2

IEA SDS, IPCC RCP2.6, etc. at 4°C, IEA STEPS, IPCC RCP8.5, etc. at 4°C

Referenced. For each scenario, identify risks and opportunities related to climate change and impact on business

We verified and evaluated the degree both quantitatively and qualitatively.

Among these, risks that will have a major impact on business include "cost increases due to the introduction of a carbon tax" and "raw material prices Increase in costs due to rising grades" and "Demand for some FANUC products due to changes in consumer behavior and shift to EV/FCV "Required reduction" and identified opportunities such as "Increase in demand for FANUC products due to energy saving and automation" and "EV/ Increase in demand for FANUC products due to the shift to FCVs."

Climate change Contributing to climate change mitigation



The 1.5°C and 2°C scenarios assume a world in which major social changes occur due to the transition to decarbonization will be done. Costs may increase due to the introduction of a carbon tax and rising raw material prices, but energy savings will be realized. With the expansion of automation and EV/FCV, the FA business, robot business, and Robomas business will expand. We believe that we can expand our business. In the 4°C scenario, low carbonization will not be promoted and the average temperature will rise, etc. Natural disasters are expected to become more severe due to climate change. As a result, production bases etc. were damaged and production was interrupted.

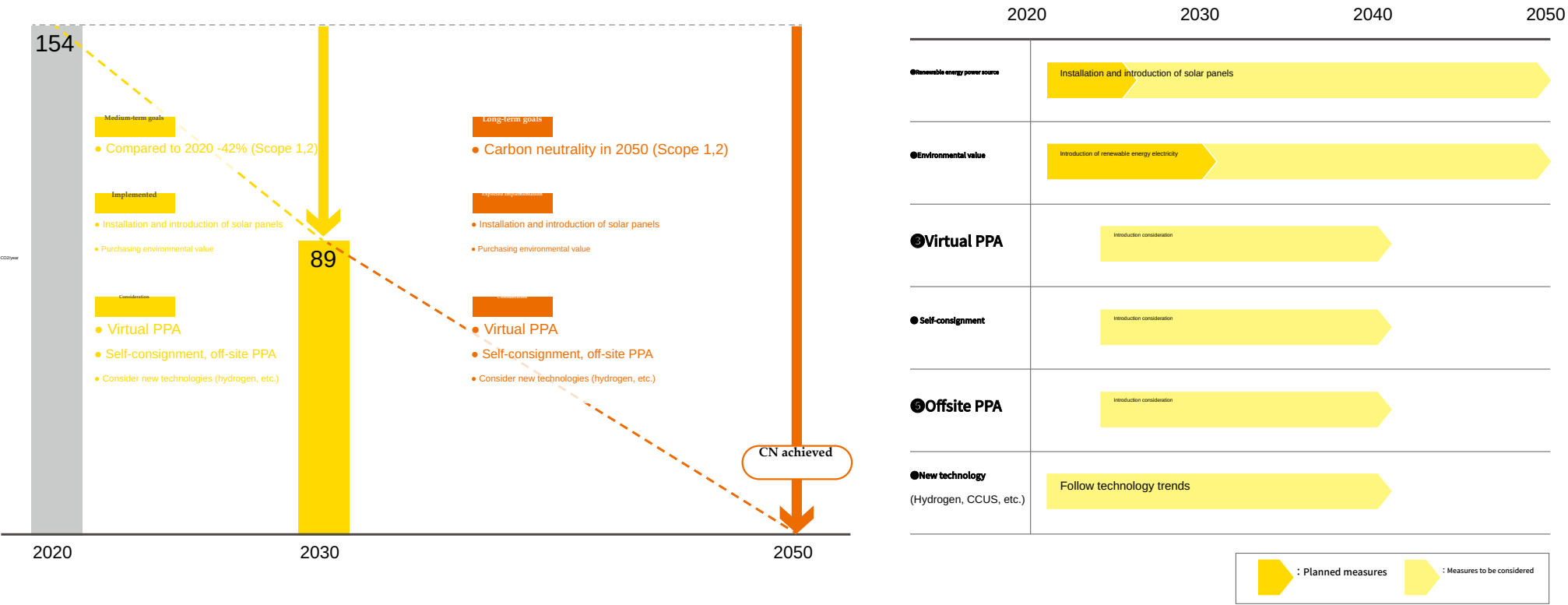
Business Continuity Plan (BCP) is necessary as negative impacts may occur and recovery costs may increase. We will promote response and respond to physical risks.

This time, we analyzed the scenario analysis for the FA business, robot business, and robomachine business. These businesses were assessed to be highly resilient in all of the scenarios used. Going forward, we will further promote initiatives to address identified risks and realize opportunities.

Climate change Contributing to climate change mitigation

Roadmap towards carbon neutrality

FANUC has set a medium-term goal of reducing Scope 1 and 2 emissions by 42% compared to 2020 by 2030 (certified by the SBT Initiative) and is promoting initiatives. Towards this goal, we are planning to introduce solar panels and renewable electricity, with an expected investment of approximately 9 billion yen. (Amounts include uncertain factors and assumptions and may differ from actual amounts)

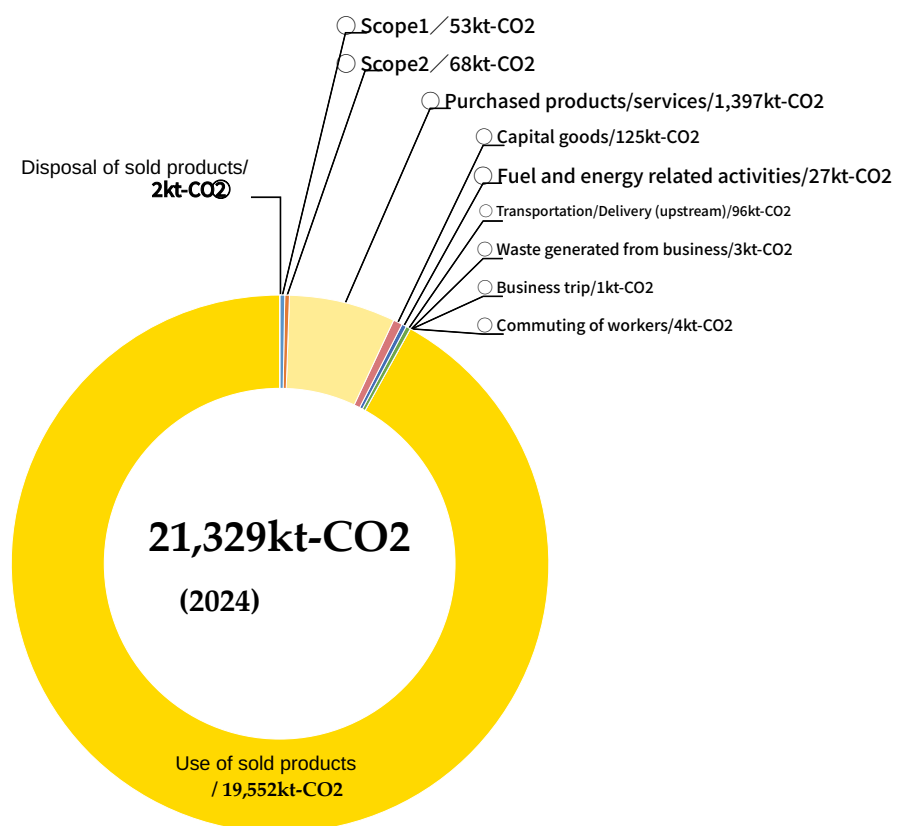


Risk management

FANUC has established a risk management committee and risk management regulations to deal with risks that may hinder business continuity, improvement of corporate value, and sustainable development of corporate activities, and supervises the board of directors. We carry out appropriate risk management under the supervision of our directors. Risks related to climate change will also be included in this risk management.

Climate change Contributing to climate change mitigation

Indicators/Targets



For FANUC Group's greenhouse gas (GHG) emissions (Scope 1, 2, 3 category 11) targets and performance It is as follows.

	FY2020 results (base year)	FY2024 results (Base year comparison)	2030 goals (Base year comparison)	2050 target
Scope1, 2	154kt-CO2	122kt-CO2 (-21.2%)	-42%	Zero
Scope3 Category 11	16,668kt-CO2	19,552kt-CO2 (+17.3%)	-12.3%	—

FANUC will reduce GHG emissions (Scope 1, 2) from the FANUC Group's business activities to zero by 2050. We have set a long-term goal of .

Toward achieving this long-term goal, we have set a medium-term goal of reducing emissions by 42% by 2030 (compared to 2020). Established.

For Scope 3, reduce emissions (Category 11) from the use of sold products by 12.3% by 2030 (compared to 2020).

These medium-term goals have been certified by the SBT (Science Based Targets) initiative.

Scope 1 and 2 in FY2024 decreased by 21.2% compared to the base year.

The main reason was that in the head office area, a portion of the electricity used was switched to electricity derived from renewable energy. It depends. From FY2022 to FY2024, installation of solar panels in the head office area and Mibu area. We are implementing , and further reductions in emissions are expected from FY2025 onwards.

Emissions from the use of Scope 3 sold products (Category 11) in FY2024 will increase by 17.3% compared to the base year. The main reason for this was an increase in sales of our products. Energy saving in FA, robots and robomachine products. We aim to reduce emissions by further improving performance.

Human resource development and engagement Creating human resources who will carry the future of the manufacturing industry

FANUC America employees selected as one of the International Robot Federation's ``10 Women Shaping the Future of Robotics 2025"

The International Federation of Robotics promotes activities to increase the visibility of women active in the field of robotics. Starting in 2024, women working in the robotics industry will be named Women in Robotics. FANUC America's Corporate Marketing General Manager Kari DeSantis was selected for 2025.

DeSantis works in marketing and communications at Fanuc America and leads Fanuc's branding efforts.

The FANUC Group provides opportunities for employees to maximize their abilities and strives to create and enrich human resources who will lead the future of the manufacturing industry.



Japan Robot Industry Association (Press Release)

<https://www.jara.jp/variables/itr/pressrelease/pr20250331/index.html>

FANUC America Corporation

Ms. Kari DeSantis / General Manager, Corporate Marketing

Career history at FANUC



My career at FANUC has been a dynamic environment filled with innovation that allows for both growth and fulfillment. It was an embodiment of. Since starting my career as a production planner, I have worked in marketing and. At each stage, I learned a lot, achieved results, and worked with the team until I became the head of the communications department. I had the joy of working and enjoying my work.

At first, the world of robotics was completely unknown to me. Marketing degree. After obtaining my certification, I joined FANUC America and started my career as a production planner. Soon I found myself on the front lines of business operations. Through this experience, FANUC's. This was my first experience with the basic philosophy of ``rigor." In this context, our business, products, and CX (Customer. Little by little, I began to understand the precision and depth of the Tamar Experience).

The big turning point in my career came when I became a Certified System Integrator at Fanuc America. This was when I had the opportunity to be involved in developing the concept for the Rator Network. Management of this program. Through, we hone the ability to combine strategic thinking and creativity, and deepen the importance of connections between people. I learned a lot. We also foster loyalty and increase the presence of our integrators in the market.

Developed and developed a series of marketing measures to achieve this goal.

Through these efforts, I believe in transparent communication, strong partnerships, and. And I learned the importance of the power that truly valuable marketing content can bring. Our company's i. Since its inception in 1996, the Integrator Network has continued to expand in size and scope of activities. However, the underlying philosophy and market entry strategy remain the same. This consistency is what. It's something I'm very proud of.

Using experience in a certified system integrator group, more comprehensive corporate marketing. I became involved in ng measures. Throughout this period, I was unsure of the direction of my career. I expressly wish to be directed to Head of Marketing and Communications for Kumerica. Now I understand.

Leading the marketing department for FANUC America is very rewarding for me. This is a major milestone in my career. So far, SCARA robot, collaborative robot CRX, Producing global launch videos for products such as the new robot controller R-50iA.

We have been blessed with many opportunities and have also contributed to expanding our market share in the Americas region.

FANUC is a place where great people thrive in diverse roles and build a culture of excellence and innovation. It is place. Collaborative relationships with other locations are invaluable, and we are blessed with talented and creative colleagues.

I feel lucky to be part of a global network.

When I look back at my progress over the past 30 years, I am grateful for the contributions I have made to FANUC. While we are proud, we remain inspired by new challenges and excited about the future. A career at FANUC will continue to bring fulfillment and growth both as a professional and as an individual. I am confident that this will continue to be the path. If I have an opportunity in the future, I will utilize my past experience and. I would like to contribute as a board member.

Human resource development and engagement Creating human resources who will carry the future of the manufacturing industry

D&I project

Aiming to revitalize internal communication and improve employee engagement

Entering the second term

The D&I project, which was launched in 2024, has entered its second term.

The director, CFO, and general manager of the accounting and maintenance division will continue to serve as the project leader, and the second-term members will be from the first term

We have partially replaced 's continuing members with new members. Maintaining continuity from season 1

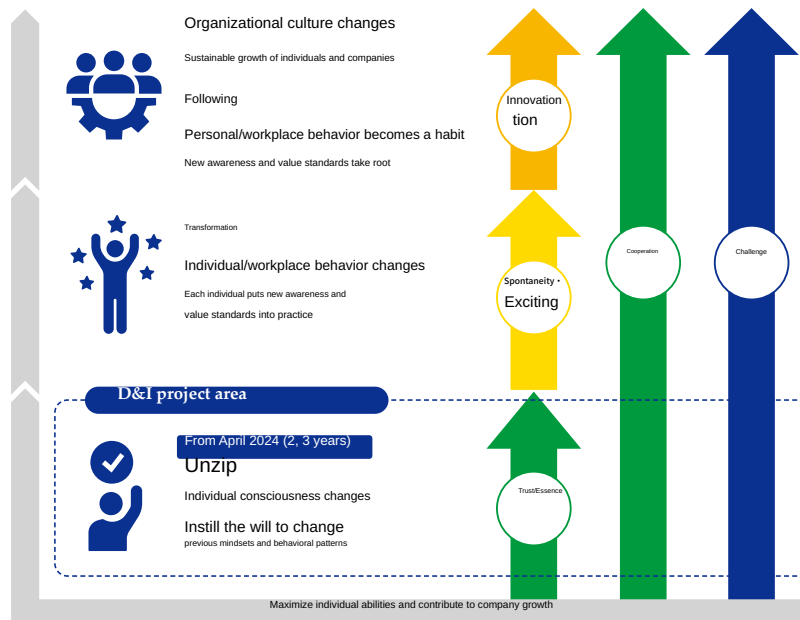
With the addition of new members, including , we are progressing with the company-wide rollout of D&I initiatives.

D&I promotion at FANUC

○ D&I project roadmap

Promoting various initiatives to foster empathy for D&I promotion over several years and encourage changes in individual awareness

I will.

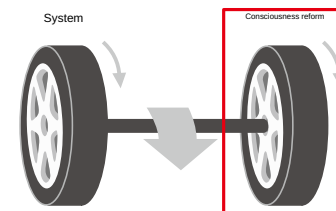


○ How to proceed with D&I projects

The key to promoting D&I is to approach it with both systems and awareness reform.

As a first step, FANUC's D&I project focuses on an approach to changing mindset

Let's move on to .



Activities in 2025

○ Employee discussion

At the "Management Roundtable" held in the summer of 2024, we focused on dialogue between upper and lower division managers and employees.

In contrast, in "employee discussions" we were conscious of the connections between the left and right, and discussed problems between employees.

This was set up as an opportunity to communicate about matters.

Firstly, in order to understand the concerns of employees, we conducted a survey targeting all employees (Number of respondents (3,776 people, response rate approximately 80%). Among these, themes of high interest are "Discipline/Culture" and "Flexita

We selected two of the ``im System" and held a voluntary discussion in December 2024.

Human resource development and engagement Creating human resources who will carry the future of the manufacturing industry

Discipline/Culture

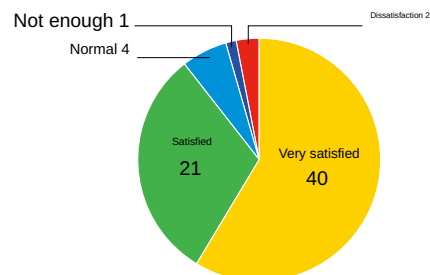
Rather than negative opinions about weaknesses such as corporate culture, it is better to take advantage of strengths and adapt to the times.

There were many positive comments such as being able to overcome heaviness.

Participant survey results

Number of participants... 68 people

Number of respondents... 68 people



Flextime system

Flextime system improves motivation and work-life balance, securing excellent human resources

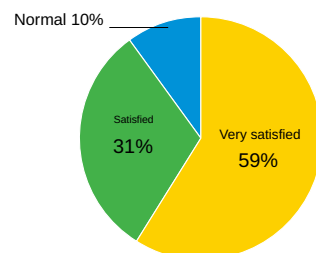
While there are benefits such as contributing to

Every concern was raised.

Participant survey results

Number of participants... 66 people

Number of respondents... 51 people



Excerpt of participant impressions

○ I could feel the "love" of wanting to make FANUC even better.

○ Good opportunity to interact with employees from other departments and various ideas. It is already part of the organizational culture to have such a place.

This is a step towards soil improvement, and by continuing to increase the number of fans of the D&I project, it will become a company-wide initiative.

The atmosphere also changes.

○ President interview/serialization

D&I project members conducted a roundtable interview with President and CEO Yamaguchi, totaling 10

It has been compiled into a series of times and posted on the company-wide portal.

His own early days, what he expects from current employees, messages to each department, the future of FANUC, etc.

A wide range of topics were discussed.



○ Special Advisor/President Roundtable

From October 2025, we will be holding a roundtable with special advisor Inaba and president Yamaguchi and volunteer employees

Masu. The "Management Roundtable" held in 2024 was held only at the head office, but was held at the Hino branch office, Tsukuba factory,

We decided to hold the event at the Mibu Plant as well, making it easier for employees working at regional bases to participate.



President's Round Table (Headquarters)

Special Advisor Round Table (Mibu Factory)

Human resource development and engagement Creating human resources who will carry the future of the manufacturing industry

Realizing the ideas of new employees - Factory tour for elementary school students in the head office area

In April 2025, new employees will participate in an idea gathering on the theme of "transformation ideas for FANUC"
Conducted test. New employee volunteers gave a presentation to management, and one of the proposals was
We have implemented a factory tour for elementary school students in the head office area.

A total of 131 fifth grade students from Oshino Elementary School in Oshino Village, Yamanaka Elementary School and Higashi Elementary School in Yamanakako Village were divided over two days
I invited you. After giving an overview of the company, the participants took a tour of the factory and experienced operating the collaborative robot CRX.

CRX has functions that can be used even by those who are new to robot operation, and uses direct teach

You can easily teach the robot.

The CRX reads the cake decoration program that each person created by running the CRX directly, and then the cake decoration program is created.

When I reproduced the speed, there was a cheer, and I was seriously taking notes about the function.

At FANUC, we create opportunities for new and young employees to satisfy their desire for growth, and we strive to foster employee empowerment throughout the company.

This will lead to improved gaugement.



Showroom



CRX Experience



About CRX

<https://www.fanuc.co.jp/ja/product/robot/model/crx/>

List of officers (as of June 27, 2025)

			Company Management	Research Development	Internationality	ESG • Sustainable Bility	Human development	Legal Affairs/ Risk management Simento	Finance/ Accounting
 Representative Director, President and CEO Kenji Yamaguchi (Kenji Yamaguchi)	April 1993 Joined our company June 2008 Appointed as Managing Director of the Company February 2012 Appointed as Director and Vice President of the Company October 2013 Appointed Representative Director and Vice President of the Company June 2016 Appointed as Representative Director, President and COO of the Company April 2019 Appointed as Representative Director, President and CEO of the Company (current position)		•	•	•	•	•	•	•
 Director, Managing Executive Officer, CFO, General Manager of Accounting and Maintenance Headquarters, General Manager of Secretary As expected from Yanagiji (As expected of Ryuji)	April 1992 Joined our company April 2004 Director of Fanuc Europe GmbH <i>Assumed position as Accounting Manager</i> January 2010 Director of FANUC Europe Corporation Assumed CFO March 2012 Joined LIXIL Co., Ltd. Secondment to Palmasteelisa SpA Group Financial Control Manager	Rejoined our company in April 2015 Director of Support for Affiliated Companies July 2015 General Secretary of the Company (to present) June 2017 Appointed as Executive Officer of the Company July 2021 Head of Accounting Headquarters June 2022 Appointed as Managing Executive Officer and CFO of the Company June 2023: Appointed as Director, Managing Executive Officer and CFO of the Company (to present) July 2023: General Manager of Accounting and Maintenance Division of the Company (to present)	•		•	•		•	•
 Director FANUC America Corporation Director and President And CEO Michael Jay Chico	August 1999 Joined Fanuc America Corporation November 2015 Appointed as vice president of the company April 2016 Appointed as company president and COO June 2016 Appointed as Executive Officer of the Company July 2016 Director of Fanuc America Corporation Inauguration of President and CEO (to present) June 2017 Appointed as Managing Executive Officer of the Company June 2020 Appointed as Director of the Company (to present)		•	•	•	•	•	•	
 Director Naoko Yamazaki (Naoko Yamazaki) Outside Director	April 1996 Space Exploration Agency (currently National Research and Development Corporation Aerospace Exploration Agency) Joined Japan Research and Development Agency (JAXA) September 2001: Certified as an astronaut aboard the International Space Station April 2010: Mission aboard the Space Shuttle Discovery Aboard the International Space Station as a tion specialist, Station (ISS) Assembly and Supply Mission (STS-131 Engaged in (19A)) March 2016 Appointed as outside director of Nabtesco Corporation September 2017 Appointed as outside director of Optran Co., Ltd.	June 2018 Appointed as outside director of Topcon Co., Ltd. (current position) July 2018 Representative Director of Spaceport Japan General Incorporated Association Inauguration (to present) June 2020 Appointed as Director of the Company (to present) June 2021 Appointed as Chairman of Japan Space Youth Foundation Public Interest Incorporated Foundation (to date)			•	•	•	•	
 Director Hiroto Uozumi (Hiroto Uozumi) Outside Director	April 1975 Joined Hitachi, Ltd. April 2003 Nuclear power production, nuclear power division of the company's power and electrical equipment group Director April 2004 Deputy Head of Hitachi Office of the company's electric power group and Atomic Deputy General Manager of Power Division April 2005 Hitachi Plant Construction Co., Ltd. Air Conditioning System Business Headquarters Deputy Head of Business Headquarters July 2007 Executive Officer, Hitachi GE Nuclear Energy Co., Ltd. Inauguration of Vice President	April 2011 Appointed as president and representative director of the company April 2013 Appointed as Managing Executive Officer of Hitachi, Ltd. April 2015 Director, Hitachi GE Nuclear Energy Co., Ltd. <i>Inauguration of Chairman</i> April 2017: Technical Manager, Nuclear Energy Business Unit, Hitachi, Ltd. April 2020: Technical Manager, Nuclear Damage Compensation and Decommissioning Support Corporation June 2021: Appointed Chairman of the Nuclear Energy Council June 2022: Appointed as Director of the Company (current position)	•	•	•	•	•	•	

List of officers (as of June 27, 2025)

			Company Management	Research Development	Internationality	ESG • Sustainability	Human development	Legal Affairs/ Risk management Simento	Finance/ Accounting
 Director Yoko Takeda (Yoko Takeda) Outside Director Independent director	April 1994 Joined the Bank of Japan April 2009 Joined Mitsubishi Research Institute, Inc. April 2012 Principal Researcher, Chief, Policy and Economic Research Center of the company Economist October 2015 Chee, Deputy Director of the company's Policy and Economic Research Center Feconomist October 2017 Director of the company's policy and economic research center, chief economist October 2020 Deputy director of the company's think tank department and policy and economics department Director, Chief Economist	December 2021 Appointed as research director of the company (current position) October 2022 Deputy Head of the Company's Think Tank Division and Think Tank Director of Departmental Management Office, Director of Policy and Economic Center, Chief Economist June 2023 Appointed as outside director of Ricoh Co., Ltd. (to present) Appointed as director of the company (to present) October 2023: Appointed Managing Research Director, Mitsubishi Research Institute, Inc. (Currently) Head of the company's think tank department (to present)				•	•	•	•
 Director (Full-time Audit and Supervisory Committee Member) Toshiya Okada (Okada Toshiya)	April 1984 Joined our company August 1999 Director of Legal Affairs of the Company June 2012 Appointed as Managing Director of the Company May 2014 Appointed as Senior Managing Director of the Company June 2016 Appointed as Director and Senior Managing Executive Officer of the Company June 2019 Appointed as Managing Executive Officer of the Company June 2020 Appointed as Executive Officer of the Company June 2023 Appointed as Director (Full-time Audit and Supervisory Committee Member) of the Company (to present)					•		•	
 Director (Audit and Supervisory Committee Member) Hidetoshi Yokoi (Yokoi Hidetoshi) Outside Director Independent director	April 1983 Lecturer, Institute of Industrial Science, University of Tokyo January 1985 Assistant Professor at the Institute July 1997 Professor at the Institute July 1998 Professor, International Industry-Academia Collaborative Research Center, University of Tokyo April 2005 Director of the Center April 2008 Professor, Institute of Industrial Science, University of Tokyo May 2015 Japan Science and Technology Agency Research Results Optimal Deployment Support Program Music 2nd Field Program Officer	March 2019 Resigned from Institute of Industrial Science, University of Tokyo June 2019 Professor Emeritus of the University of Tokyo (to present) Appointed as Audit & Supervisory Board Member of the Company June 2021 Appointed as Director (Audit and Supervisory Committee Member) of the Company (to present)		•	•	•			
 Director (Audit and Supervisory Committee Member) Mieko Tomita (Tomita Mieko) Outside Director Independent director	April 1980: Registered as a lawyer (currently) Nishi & Iseki Law Office (currently Joined Nishi Sogo Law Office) April 1995 Auditor, Kanagawa Learning Disabilities Research Association April 2001 Civil Mediation Committee Member, Tokyo District Court (to present) April 2004 Lecturer at Showa Women's University October 2007 Bar Examination Committee/Civil Procedure Law June 2012 Appointed as outside auditor of Morinaga Milk Industry Co., Ltd. April 2017 Representative of Nishi Sogo Law Office (to present)	June 2019 Outside Director of Nisshin Seifun Co., Ltd. Group Headquarters (Audit Committee member) Appointed (currently) June 2020 Appointed as Audit & Supervisory Board Member of the Company June 2021 Appointed as director (audit and supervisory committee member) of the Company (to date) Appointed as outside director of Tekken Construction Co., Ltd. (to date) Appointed as outside auditor of TEPCO Power Grid Co., Ltd. (to date)				•	•	•	
 Director (Audit and Supervisory Committee Member) Shigeo Igashima (Shigeo Igashima) Outside Director Independent director	April 1990 Joined Chuo Shinko Audit Corporation August 1995 Registered as a certified public accountant (current) January 1997 Joined Yano Seisakusho Co., Ltd. August 2004 Representative of Isojima Certified Public Accountant Office (current) November 2004 Registered as a tax accountant (current) Representative of Shigeo Igashima Tax Accountant Office (to present) June 2016 Appointed as outside director (audit and supervisory committee member) of Accel Co., Ltd. December 2017 Appointed as outside director of Taiyo Bussan Co., Ltd.	June 2023 Appointed as outside director (full-time audit committee member) of Accel Co., Ltd. (to date) Appointed as Director (Audit and Supervisory Committee Member) of the Company (currently)				•			•

Outside Director/General Manager Roundtable Discussion

“one FANUC” promotes constant technological innovation and automation around the world

With the growing need for automation due to labor shortages and rising labor costs, as well as the need to respond to issues such as climate change, FANUC is leveraging its technological strengths and developing new technologies such as AI. How should technology be utilized to contribute to solving problems? FANUC's competitive advantage is achieved by a total of six members, including outside directors with specialized knowledge of technology and the general managers of the R&D headquarters for the three businesses. We asked them to talk about the roles they should play and what they aspire to be.

*This roundtable discussion was held on October 27, 2025.



How to address social issues such as labor shortages, rising labor costs, and the use of AI

Yamazaki: Recently, as the business environment surrounding companies has undergone major changes in various aspects, the working-age population has decreased. Due to the rise in labor costs, there is an unprecedented demand for automation in manufacturing sites and a wide range of industries. It has been growing rapidly. Since our founding, we have consistently addressed this social issue shared by the world at our production sites. This is a big tailwind for FANUC, which has been pursuing automation. On the other hand, the current production situation for FANUC

This is not unrelated to the intensifying competition to acquire human resources who will be responsible for the workplace, and in responding to a wide range of automation needs and solving problems.

More than ever, we need to make efforts to accelerate internal automation, increase productivity, and deploy that knowledge I think there is.

Yokoi: As we advance automation, we should also pay attention to the rapid rise of AI. Life and business with AI As business practices are forced to change, what is required of FANUC's production goods? Follow In addition to the future generation AI and AI agents, the emergence of physical AI that enables autonomous actions in the physical world The way we make things will also change significantly. The entry of major tech companies is also accelerating Cooperating with other companies while leveraging the competitive advantage we have cultivated through our experience of supporting industrial automation How to advance and lead the market is a major theme from the standpoint of researchers and engineers. I see it as something that will come.

Strengths of automation promoted in three businesses: FA, robots, and robomachines

Uozumi: Our company is a top leader in the automation market with our three core businesses of FA, robots, and robomachines We have built a relationship of trust with our customers. In the future, we will overcome the current challenges without falling into the “success trap” In order to lead social change with FANUC's cutting-edge technology, we need to improve our organizational culture and human resources. Nursing will no doubt become an issue as well. How the group works together to achieve breakthroughs This is a theme that is required of the heads of each department and management, and as an outside director with a technical background, I would like to actively make recommendations.

Abe: As you pointed out, customers all over the world are asking us to help address labor shortages, improve productivity, and provide high-quality products We receive many requests for manufacturing, and we feel firsthand that the demand for automation is clearly increasing. How can we combine new technologies and elements such as AI, IoT, and digital here? Technology on your side How can we achieve what was previously impossible? As someone at the development site, I see this change as a big challenge.

Outside Director/General Manager Roundtable Discussion



I am very excited.

Promoting the spread of robots and contributing to automation needs

In order to lower the threshold for introducing robots, the first step is to

Easy to use even for users like a smartphone

It is important to realize productivity. Easy to use operations

Advanced technology is required behind the production, and that is why we

's strength is machine tool control technology

S. The control technology that we have accumulated so far is the digital

Collaborative robots and AI control that can be easily used even by older generations

It is the foundation.

Noda: Automation needs vary depending on the country/region, business environment, and challenges faced. Also, automation

In order to proceed with , it is important to ensure safety and security without stopping the production line, and this is where our company

We believe that the high level of reliability that we have cultivated will be utilized.

The idea behind automation in machine tools is to reduce work time by subdividing and simplifying processes

There are two approaches: "process division" to shorten the time, and "process integration" to complete all processes with one machine

Yes, and FANUC offers both technologies to suit your needs.

Process integration is a technology that uses multiple machine tools to complete processing in one process. Set-up between processes

It has the advantage of not requiring and is suitable for automating complex workpieces, but it is difficult to set machining conditions

The operator's work becomes more sophisticated. We use our proprietary digital twin technology to

Significantly reduces operator burden and improves machining quality and service by optimizing machining through simulation.

Reduced cycle time. Another important element in automation is data

It is utilization. FANUC is a data platform that collects, standardizes, and manages data from machinery and equipment in factories.

We provide , contributing not only to improving the efficiency of individual machines but also to optimizing and automating the entire factory.

Takashi: At Robomachine, we are focusing on development with an emphasis on process integration. Traditionally, multiple machines

The necessary work can be completed with one machine. For example, a book of tools that can be mounted on Robodrill

We have increased the number of machines so that one machine can handle a wide variety of processing.

We are a department that embodies the technology of FA, which is our basic product, and provides applied products, so above all we are concerned with customer needs

Our top priority is to be close to thes. How machine

Improve machine performance, pursue ease of use, and reduce

Three perspectives on how to ensure mental health and safety

We are proceeding with development based on .

Technological superiority, differentiation from competition

The importance of communicating

Yokoi: I would like to make one suggestion based on what you said.

Make it easier for users to understand the relationship between the three businesses

The more you present, the more competitive advantage and value you will have



I think it will be conveyed convincingly. Because each technology is excellent, it is important to know how to use them.

The challenge is how to present Nagi as "one FANUC," and I have high hopes for the future.

Uozumi: Approaches such as "factory design proposals" tailored to the size of the customer's factory are not effective either.

Is that so? By showing how robots, machine tools, etc. are placed and how they are connected, one

I think it will be easier to convey the value of FANUC. FANUC itself operates a large-scale factory

Since it is , they must have a deep understanding of the needs of the entire factory and have a wealth of know-how to solve them

S. By leveraging FANUC's own knowledge, we will lower the hurdles for customers to introduce automation.

I think it will connect.

Abe - In terms of the connections between the three businesses, there is the FA business, which consists of the basic technology of NC (numerical control equipment);

As applications of , we are developing two businesses: robots and robomachines. For example, our machine

The processing factory supplies machine tools such as CNC-equipped machining centers and lathes, and workpieces

The robots work together as one, embodying the automation model of "one FANUC."

This factory is a place where customers can see the automation models when they visit.

In order to propose automation tailored to customers' "what they want to do," we have recently introduced an app called "Factory Diagnosis."

Roach is also progressing. Visit your factory directly and easily understand where to start automation

We suggest things that can be done, areas that are highly difficult, points to keep in mind when introducing new equipment, etc.

Takatsugu - Let me tell you about my experience at the International Plastics Fair where I previously exhibited.

Outside Director/General Manager Roundtable Discussion



The "molding factory" area (electric injection molding machine and robot system) and "machining shop" area (machining center and wire cut) is installed, and Robots at Tokyo Big Sight held at the time Connected to the exhibition booth using an IoT system. Makuhari Works at Tokyo Big Sight while being at the Messe You can monitor and collect data from robots S. An attempt to demonstrate such an integrated solution Since we have practiced An attempt to have AI experience "one FANUC"

I would like to .

Yamazaki: Your employees often talk about their goal of ``aiming to become the most efficient factory in the world."

In the future, "one FANUC" will integrate the three businesses and services of FA, robots, and robomachines, and will include AI. Which new technologies should be integrated and how? Looking forward to the realization of a new "one FANUC" that fits the times I am.

Saving energy with various technologies and ideas

Yamazaki: Along with the promotion of automation, responding to climate change, including CO2 reduction, is an important issue shared by the world. This is an important issue. Strongly requested from companies, especially from the phase of reducing CO2 directly emitted by the company (Scope 1, 2)

Shifting emphasis to Category 11 of Scope 3, which has been

In the future, there will be an increasing need for measures that involve the entire supply chain to reduce emissions.

For example, improving the energy-saving performance of a product cannot be achieved overnight; it requires steady technological accumulation

Achieved by overlapping. We are progressing step by step in energy saving as we upgrade our products.

This can also be said to be a strength of FANUC's unique approach to reduction.

Abe: Thank you. In terms of environmental friendliness, in addition to company-wide initiatives, each business has products We are making proposals to improve 's energy-saving performance and reduce waste.

One of the efforts in robots is to reduce weight through design. The most energy-saving effect in robots

The high cost is the weight reduction of the robot arm, which can conventionally weigh 10 kg

The weight of the transport robot was 150 kg, but now

Achieved a weight of less than 50 kg, which is approximately one-third of the total weight.

Robots are just like cars, reducing unnecessary acceleration and deceleration

Power consumption is reduced by maintaining constant speed

Masu. Here, we use simulation technology to

Optimization of acceleration/deceleration without changing cycle time or trajectory

Reduce waste even in maintenance

Incorporate this into the design and replace cables and grease

Period optimization has been realized.

Noda: One of the efforts to reduce power consumption in the FA business is to reduce machining time by improving CNC performance.

It is shortened. The second technology that is attracting attention is AI thermal displacement correction technology. Thermal changes in machines by AI

Prediction and correction functions reduce machine warm-up and temperature management load, resulting in stable machining Energy saving effects can be expected. In addition, we consider it important to reduce energy consumption throughout the life cycle of machine tools.

I'm getting it. The trend of replacing old generation machine tools with the latest models with high energy-saving effects and Takashin

Reliability technology and lifetime maintenance service maintain the value of machine tools over long periods of time, conserving resources

Provides another option of efficient utilization and contributes to the circular economy

I would like to put this into practice.

Takashi: One of the approaches we are advancing with RoboMachine is to shorten machining time and increase non-working time

Power reduction. The AI thermal displacement correction increases the thermal stability of the machine, making it easier to turn off the power during lunch breaks and holidays.

Even if the machine is stopped, accuracy can be maintained when it restarts, reducing power consumption. Others, robot

Visualization using the power consumption monitor developed for SCHOTT leads to reductions in power consumption

We are also proceeding with the approach.

Yokoi: The fact that they have been responding to Category 11 from an early stage is very advanced and deserves high praise.

I thinkint. However, as other companies are following suit, how much of a difference is there compared to similar technologies in the world?

Is there ? As an engineer, my preference is to show empirical data and use it for evaluation.

It's a direct hope. What do you think about the difference between us and other companies?



Outside Director/General Manager Roundtable Discussion



Takatsugu: In fact, at an exhibition, he talked about the use of AI thermal displacement correction, saying, "Just stopping the machine during lunch break is a big deal. I have had the experience of receiving a positive response when I gave specific numbers and explained that it has an energy-saving effect."

S. Engineers tend to hesitate to talk about things that cannot be guaranteed 100%, but at this time recognized the importance of demonstrating effectiveness in numbers.

Yamazaki: The idea of showing not only individual products but also environmentally friendly products at the exhibition was highly praised. I think it can be done. In addition to further improving presentation methods, we will utilize data from each Scope. There should also be advantages in promoting DX within the company. In addition to reducing CO2 emissions, we also offer stories. I would like you to spread the word about your contribution to the circular economy.

Proposals that integrate the latest technology that only FANUC can realize

Yamazaki: Automation is required in a variety of areas, including logistics, food, agriculture, construction, aviation, and recycling. We are expanding into fields. Recently, in the field of space that I am involved in, I have been involved in the launch of rockets and artificial satellites. As the needs of space development continue to diversify, the opportunities for FANUC to contribute are also expanding. I am.

Based on these circumstances, in addition to practicing "one FANUC," we will be focusing on the sites where technology is applied. The idea of "one site," which improves society as a whole by promoting integration with other companies' technologies, is important. I think it will. In addition, we have taken on the challenge of regulations and standardization in the development of new businesses.

Noda — For example, our AI thermal displacement correction

What is different from conventional technology in that it does not depend on the structural design of

They are completely different concepts. In fact, various types of

Increasing number of applications for type machines

It can be said that expresses its characteristics, but new

Because it is a new way of thinking, the numerical values compared to the conventional technology

It is true that the above comparison is difficult, and as you say

Engineers provide customer support, including differences in concept

Have a perspective on how to be useful and fulfill accountability

It's important to do something.

As a pioneer, introducing new technologies such as physical AI

We also hope that it will contribute to standardization as it becomes available.

Yokoi: I would like to make two recommendations. The first one is

Exploring the possibilities of technologies such as physical AI

Even above, we have created an "experimental factory" that integrates all the latest technology

We would like you to construct it and make it available to the public both inside and outside the company.

Not just for profit purposes, but also the development of new technology and human resource development

As a place for growth, promotion of innovation, and challenge

By making it work, it will be a great asset for society in the future

I think it will become .



Secondly, when expanding into new fields such as logistics, agriculture, and construction, to increase the probability of success. It is also possible to launch a project or venture-like organization in collaboration with innovators in the field. Please consider this. With the number of competing companies increasing, the company was determined to make further changes. I look forward to receiving it.

Uozumi: The big pictures that FANUC depicts, such as the "dream factory" and "dream industry," are. I think it would be a good idea to show it as a pointing figure. I think it would be a good idea to solicit ideas through internal competitions etc. I am. By repeating these trials, we will develop the technological elements and needs needed to expand the new market. I believe that 's will also become visible.

Abe: As automation progresses in a wide range of fields such as logistics, agriculture, and recycling, We are already collaborating and collaborating with companies that employ engineers. In addition, our company. When builds a new production line, we always aim to make it the world's best production line, and we do not only research and develop, but also the manufacturing department. We are also talking with and considering the "next form". Utilization of physical AI that will play an important role in this. In order to realize and to help young engineers develop a broad perspective with an eye to the future. What we aim for. I would like to develop ideas for one after another.

Thank you very much for your valuable suggestions.



Please see the homepage for FANUC's latest efforts regarding physical AI.
https://www.fanuc.co.jp/ja/product/new_product/2025/202512_robot_physicalai.html

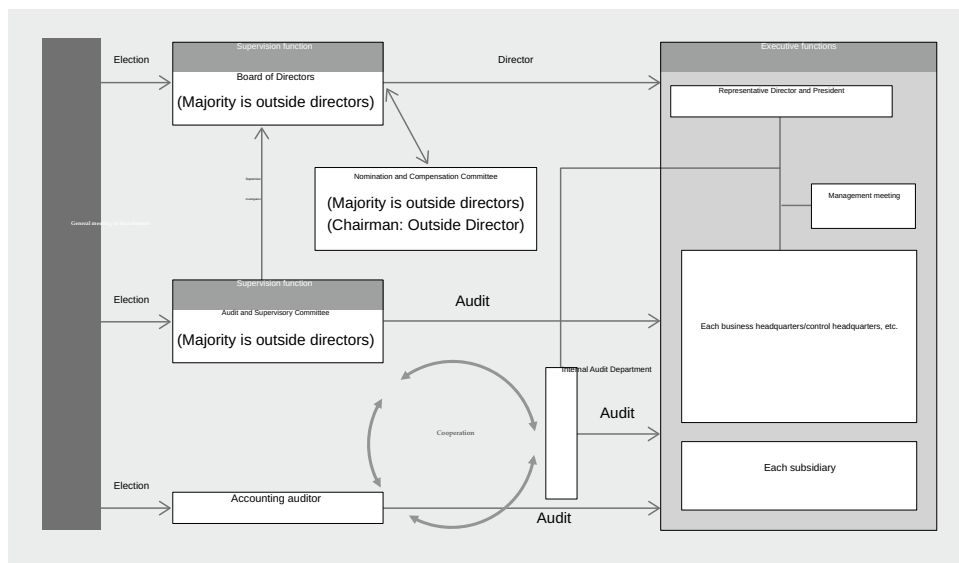
Enhancing corporate governance

Basic policy

FANUC has always strived to enhance corporate governance based on the basic philosophy of "rigor and transparency". We have really tried. In 2021, as we move forward with the separation of supervisory and executive functions, the board of directors' supervisory function will be composed of directors who are members of the Audit and Supervisory Committee in order to further strengthen capabilities and speed up management decision-making. With an "Audit and Supervisory Committee," it is possible to expand the delegation of decision-making authority for business execution from the board of directors to directors. We have transitioned to a company with an audit and supervisory committee. After that, as a company with an audit and supervisory committee, we further established related regulations. Efforts to further strengthen the supervisory function of the Board of Directors and speed up management decision-making, such as by developing rules, etc. I'm looking forward to it.

In addition, there is a nomination and remuneration committee, of which the majority are independent outside directors, and which is chaired by an independent outside director. By establishing a board of directors and increasing objectivity and transparency in the appointment and evaluation of directors, stricter oversight functions. We ensure compliance and transparency.

Corporate governance system diagram



ESG Initiatives ~ Governance

- 2014** Introduction of executive officer system
- 2015** Establishment of SR Department (currently Public Relations and SR Department) and start of SR visits to institutional shareholders
 Establishment of corporate governance guidelines
 Increase the number of outside directors (1 person → 3 people)
- 2016** Implementing all principles of the Corporate Governance Code (full compliance)
- 2018** Implementation of board evaluation by a third party
 Establishment of a voluntary nomination and compensation committee
- 2019** Increase in the ratio of outside directors (23% → 27%)
 Independent outside director appointed as chairman of nomination and compensation committee
- 2020** Appointment of female directors and female auditors; ratio of outside directors increased to one-third
- 2021** Transition to a company with an audit and supervisory committee, appointment of two women as directors, ratio of outside directors increased by more than half
 Introduction of stock compensation system
- 2023** Increase in the ratio of female directors (18% → 27%)
- 2024** Incorporating non-financial indicators into executive compensation calculation elements
 A framework for non-financial indicators has been established for bonuses not only for internal directors but also for executive officers, etc.
 Employee engagement, ESG evaluation scores, GHG emissions
 Efforts to improve the amount of reduction
- 2025** Increase in the ratio of female directors (27% → 30%)
 Increase in the ratio of outside directors (55% → 60%)

Enhancing corporate governance

Promotion system/initiatives

- As a company with an audit and supervisory committee, the Board of Directors (supervisory function) is aiming to separate and the management side (executive function),

We try to maintain their independence.

- The ratio of outside directors on the board of directors and the diversity ratio of the board of directors are as follows
- I am.



- Three members of the Audit and Supervisory Committee (four members) are outside Audit and Supervisory Committee members, one of whom is a woman.
- Whether the independence of the board of directors and management is maintained, and the effects of diversity are being shown

Regularly review the content from the viewpoints of whether it is being implemented and whether discussions are active at the Board of Directors and the Audit and Supervisory Committee.

We will verify and make improvements as necessary.

Independence standards for outside officers

FANUC does not have any particular conflicts of interest with respect to independent outside officers and does not hesitate to refute them at meetings of the Board of Directors, etc.

We are looking for candidates who can be expected to make frank statements. Also, ensuring such substantial independence

Therefore, it is required that at least each of the following items be met.

1. Sales to the other company account for less than 2% of the consolidated sales of our company or the company it originated from.
2. No borrowings from the company of origin. (For those with a bank background)
3. There are no significant business relationships such as advisory contracts with the Company. (For lawyers, etc.)
4. Not a former member of the auditing firm that is our accounting auditor.
5. There are no other special circumstances that could create a conflict of interest with the Company.
6. Not a spouse or relative within the second degree of kinship of a person who does not meet the requirements 1. to 5. above.

- Candidates will be those who are expected to have an attendance rate of 75% or higher at Board of Directors meetings.
- The nomination and dismissal of director candidates, including the representative director and president, will be made by the majority of independent outside directors

After consultation with the Nomination and Remuneration Committee, which is chaired by an independent outside director, the Board of Directors makes a decision

I am.

Nomination and Compensation Committee

A nomination and remuneration committee, with a majority of independent outside directors, will be in charge of appointment/dismissal of directors and remuneration, etc.

The committee ensures the objectivity and transparency of the procedures through deliberation by the committee.

〈Members〉

Outside Director Naoko Yamazaki (Chairperson)

Outside Director Hiroto Uozumi

Outside Director Yoko Takeda

Outside Director (Audit and Supervisory Committee Member) Mieko Tomita

Kenji Yamaguchi, Representative Director, President and CEO

Director Managing Executive Officer and CFO Ryusei Ryuji

Frequency of meetings of the Board of Directors/Audit and Supervisory Committee/Nomination and Compensation Committee

- The Board of Directors meets, in principle, once a month, and from time to time as necessary. (FY2024 is Held 12 times in total)
- The attendance status of individual directors at Board of Directors meetings, etc. is as follows (FY2024).

	Board of Directors	Audit and Supervisory Committee	Nomination and Compensation Committee
Kenji Yamaguchi	12 times/12 times	—	3 times/3 times
Rice leaves Zenji	12 times/12 times	—	3 times/3 times
Flower Stone Willow Two	12 times/12 times	—	—
Michael Jay Chico	12 times/12 times	—	—
Naoko Yamazaki	12 times/12 times	—	3 times/3 times
Fish resident Hiroto	12 times/12 times	—	3 times/3 times
Hiroko Takeda	12 times/12 times	—	3 times/3 times
Toshiya Okada	12 times/12 times	13 times/13 times	—
Hidetoshi Yokoi	12 times/12 times	13 times/13 times	—
Mieko Tomita	12 times/12 times	13 times/13 times	3 times/3 times
Isoshima Shigeru Husband	12 times/12 times	13 times/13 times	—

Enhancing corporate governance

Director compensation policy

1. Matters related to decision-making policies regarding the content of individual remuneration, etc. of directors

The Company pays individual remuneration, etc. for directors (excluding directors who are members of the Audit and Supervisory Committee; hereinafter the same applies in this paragraph).

We have established a decision policy regarding content (hereinafter referred to as the decision policy), and the outline is as follows. (2021 Resolved at the company's board of directors meeting held on June 24, 2017)

- ☐ Fixed compensation is determined according to each director's position.
- ☐ Performance-linked compensation is basically linked to net income attributable to parent company shareholders, similar to shareholder returns
- ☐ Stock remuneration is based on a comprehensive consideration of various factors such as the director's degree of contribution, and remuneration related to restricted stock

20% of performance-based remuneration will be paid based on evaluation criteria as a non-financial indicator. Evaluation criteria

We will apply three indicators: "Employee Engagement," "ESG Evaluation Score," and "GHG Emission Reduction."

Provide .

- ☐ Directors' remuneration consists of fixed remuneration, performance-linked remuneration, and stock remuneration.
- ☐ Remuneration for outside directors shall be fixed remuneration only.

Furthermore, the decision policy is determined by a resolution of the Board of Directors.

Remuneration for directors who are members of the Audit and Supervisory Committee will be determined individually based on discussions among directors who are members of the audit and supervisory committee.

The amount of remuneration for directors who are members of the Audit and Supervisory Committee is determined.

2. Matters regarding resolutions at the general meeting of shareholders regarding director remuneration, etc.

The total amount of remuneration, etc. for directors (excluding directors who are audit and supervisory committee members) will be disclosed on June 24, 2021

At the 52nd Ordinary General Meeting of Shareholders to be held, the total amount of the following (a) fixed remuneration limit and (b) performance-based remuneration limit was increased

Limited. In addition, outside directors are excluded as a separate framework from (a) and (b).

We have received approval to provide (c) stock compensation.

- ☐ (a) Fixed remuneration: up to 800 million yen per year (of which, for outside directors, up to 100 million yen per year)
- ☐ (b) Performance-linked remuneration: The amount attributable to the shareholders of the parent company in the fiscal year preceding the general meeting of shareholders who were elected or reappointed.

Within 0.7% of net income (but not exceeding 3 years' worth of fixed remuneration)

- ☐ (c) Stock remuneration: The total amount of monetary remuneration claims paid as remuneration related to restricted stock is 300 million yen per year

Within 50 million yen, the total number of restricted shares allocated in each fiscal year is 28,000

Within stock

However, from the date of approval at the 52nd Ordinary General Meeting of Shareholders held on June 24, 2021, the Company's common stock will be split

(including gratis allotment of our common stock) or in the event of a reverse stock split

If it is necessary to adjust the total number of restricted shares to be allotted in accordance with

The total number can be adjusted reasonably.

The number of directors (excluding directors who are audit and supervisory committee members) as of the conclusion of the regular general meeting of shareholders was 6, and

There are three people excluding the directors.

For the total amount of remuneration, etc. for directors who are audit and supervisory committee members, please refer to the 52nd regular meeting held on June 24, 2021

At the general meeting of shareholders, we have approved an annual amount of up to 200 million yen.

The number of directors who are members of the Audit and Supervisory Committee as of the conclusion of the ordinary general meeting of shareholders is five.

3. Matters related to determining the content of individual remuneration, etc. for directors (excluding directors who are audit and supervisory committee members)

When considering remuneration levels, we select benchmark companies and also consider the survey results of external third-party specialized institutions.

The above remuneration level is used as a reference. Regarding the determination of remuneration amount, independent outside directors hold a majority

After consulting the Nomination and Compensation Committee chaired by Mekatsu Outside Director, the Board of Directors (Supervisor

Specific details of the amount of remuneration for each individual (excluding directors who are audit and supervisory committee members) are determined. The procedure

Since the amount of remuneration for each individual director (excluding directors who are audit and supervisory committee members) is determined after the

The board has determined that the content is in line with the decision policy.

Effectiveness of the Board of Directors

1. Evaluation policy

FANUC continues to provide indispensable value to the world and is trusted by stakeholders

In order to continue to be a company, we emphasize corporate governance and our basic philosophy of "rigor" and "transparency"

To further strengthen supervisory functions, speed up business execution decisions, and improve management efficiency.

As part of this, we evaluate the effectiveness of the Board of Directors annually.

2. Evaluation process

The FY2024 evaluation will focus on matters considered important for the board of directors to effectively fulfill its roles and responsibilities.

Understanding the issues that each director is aware of regarding (composition and operation of the board of directors, deliberations regarding strategy, etc.)

At the same time, the board of directors effectively fulfills the role expected of stakeholders including shareholders

The survey was conducted based on the knowledge of external consultants in order to objectively confirm whether there were any.

We also confirmed the status of efforts to address the issues identified in the previous year's effectiveness evaluation

It. The evaluation was based on a questionnaire survey of all directors and the analysis results compiled by an external consultant.

Reports and deliberations were made at the Board of Directors meeting based on .

Enhancing corporate governance

3. Summary of evaluation results

Based on the analysis results of external consultants, the Company's Board of Directors has determined the following regarding the effectiveness of the Board of Directors

Analysis and evaluation were performed as per.

(1) Based on the current business environment of the Company, the Company's Board of Directors shall carry out "supervision of execution" and "Important

Frank comments and recommendations on important themes from the perspective of investors and stakeholders, and multifaceted reviews

Considerations are particularly expected, with a diverse group of members desirable for this role.

It is highly evaluated for its ability to conduct and have lively discussions, and it is functioning effectively.

Confirmed.

(2) In the previous year's effectiveness evaluation, we recognized the following two points as issues.

① Supervision of executive efforts to strengthen the organizational structure in response to significant changes in the external environment

Recommendations to directors and executives

② Towards fostering a corporate culture and climate that respects challenges to achieve FANUC's sustainable growth

Supervising the efforts of the executive side and making recommendations to the executive side

Continued efforts are being made to address these issues, including strengthening human resources strategies.

I realized that I needed some help.

(3) In addition, through the current year's evaluation, (i) we will provide an opportunity to further discuss succession plans for CEOs, etc.

(ii) Deeper discussions with executives about management strategy and improving return on capital from a long-term perspective

Recognized the need to

The Company's Board of Directors will, from now on, work constructively on (3) and contribute to sustainable growth

I will.

Implementation status of dialogue between management and shareholders in FY2024, etc.

○ Main person in charge of dialogue with shareholders

CEO: Financial results briefings 4 times, individual interviews 23 times (FY2023 results: 4 times, 22 times)

CFO: Individual interviews 64 times (60 times)

Public Relations/SR Department: Individual interviews 71 times (72 times)

Tours sponsored by securities companies: 5 times (2 times)

○ Overview of shareholders with whom dialogue was held

		FY2024 results	FY2023 results
Domestic and foreign	Domestic	247 people	192 people
	overseas	76 people	72 people
	total	323 people	264 people
Responder's area of responsibility	Fund manager	119 people	99 people
	Analyst	138 people	121 people in
	charge of ESG	6 people	16 people
	In charge of exercising voting rights	12 people	9 people
	Other	48 people	19 people
	total	323 people	264 people

○ Main themes of dialogue and matters of interest to shareholders

Business

- Regarding the conduct of tests for non-compliance with harmonized standards based on the EMC Directive on our RoboCut products for Europe
- Economic trends, business environment
- Medium- to long-term direction
- Target profit rate level
- Production capacity expansion plan

ESG

- Carbon neutral initiatives
- Employee engagement, diversity promotion
- Board of Directors Diversity

Financial/capital policy

- Cash and deposit level
- Cost of capital and ROE

○ Status of feedback of shareholder opinions and concerns to management and the board of directors

In addition to reporting the contents of dialogue to management from time to time, we will collect opinions and concerns from shareholders during fiscal 2024.

This will be reported at the May 2025 Board of Directors meeting.

○ Items incorporated based on dialogue and subsequent feedback

- In January 2024, D&I (Diversity & Inclusion) aimed at improving employee engagement. John) Start the project
- The Nomination and Remuneration Committee in May 2024 discussed linking non-financial KPIs to executive remuneration, and the same Introduction decided at board of directors meeting in June 2018
- Test for non-compliance with harmonized standards based on the EMC Directive in our RoboCut products for Europe in 2024 Regarding the implementation of the trial, the Quality Control Headquarters, Human Resources Headquarters, and Compliance Committee will continue to prevent recurrence
- Work on measures and consider disclosing progress

Enhancing corporate governance

Efforts to revitalize shareholder meetings and facilitate the exercise of voting rights

1. Early dispatch of notice of general meeting of shareholders

The notice of convocation for the 2025 Ordinary General Meeting of Shareholders was sent on June 6th for the June 27th general meeting date. In addition, prior to sending out the convocation notice, we will post the convocation notice on our website early on May 30 I did.

2. Exercise of voting rights by electromagnetic means

Voting rights can be exercised via the Internet at the general meeting of shareholders voting site designated by the Company

3. Participation in the voting platform

Participates in an electronic voting platform.

4. Provision of convocation notice (summary) in English

For foreign shareholders, we have created a reference English translation of the notice of convocation of the general meeting of shareholders.

5. Others

We post the notice of convocation of the general meeting of shareholders on our website.

Shareholder return policy

The Company will return profits to shareholders based on the following basic policy.

1. About dividends

Our basic policy is to maintain a consolidated dividend payout ratio of 60%.

2. Regarding stock acquisition

We will flexibly acquire treasury stock in accordance with the stock price level, taking into consideration the balance with growth investment.

3. Regarding cancellation of treasury stock

Holding of treasury stock is capped at 5% of the total number of issued shares, and as a general rule, the portion in excess of this is retired every fiscal period.

Reject.

Stock acquisition status

As of April 30, 2025, the period for acquiring treasury stock pursuant to the resolution of the Board of Directors dated April 24, 2024 will end Completed.

Details and record of share repurchase resolved at the Board of Directors meeting held on April 24, 2024

	Contents of resolution	Acquisition status	Digestion rate
Total number of shares that can be acquired	12.5 million shares (upper limit)	12,430,400 shares	99.4%
Total acquisition price of shares	50 billion yen (upper limit)	49,542,988 thousand yen	99.1%
Acquisition period	May 1, 2024 - April 30, 2025		

In addition, at the board of directors meeting held on April 23, 2025, the provisions of Article 165, Paragraph 3 of the Companies Act were approved as follows

Resolution on matters related to acquisition of treasury stock based on the provisions of Article 156 of the same Act, as applied by replacing I did.

1. Reasons for acquiring treasury stock

To respond to changes in the business environment and ensure flexibility and maneuverability of capital policy.

2. How to obtain

Market purchase on the Tokyo Stock Exchange

3. Details of matters related to acquisition

Type of shares to be acquired	Common stock
Total number of shares that can be acquired	12.5 million shares (upper limit) (1.34% of total number of issued shares (excluding treasury stock))
Total acquisition price of shares	50 billion yen (upper limit)
Acquisition period	May 1, 2025 - April 30, 2026

(Reference) Treasury stock holding status as of March 31, 2025

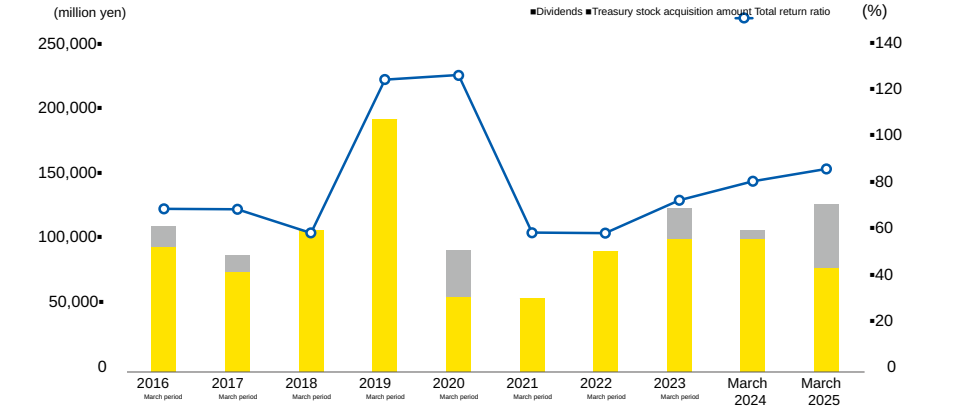
○ Total number of issued shares (excluding treasury stock): 933,264,319 shares

○ Number of treasury shares: 62,154,566 shares

Cancellation of treasury stock

Date of cancellation	Number of shares cancelled	Percentage of total number of outstanding shares before cancellation
May 31, 2024	7,655,104 shares	Approx. 0.76%

Implementation status of shareholder returns



Company information

Company Profile

Company	Name			FANUC CORPORATION	
Setting	Stand			1972	
Lord	Registered	Based	Point		
	Book	Company	Oshino Village, Minamitsuru District, Yamanashi Prefecture		
	Ken	Investigation	Open	From	Oshino Village and Yamanakako Village, Minamitsuru District, Yamanashi Prefecture
	Branch offices and branches			Hino Branch (Hino City), Nagoya Branch (Komaki City), Osaka Branch Store (Osaka City), Hokkaido Branch (Ebetsu City), Tohoku Branch (Sen Tai City), Tsukuba Branch (Tsukuba City), Maebashi Branch (Maebashi City), Echigo Branch (Mitsuke City), Hakusan Branch (Hakusan City), Chugoku Branch (Oka Yama City), Hiroshima Branch (Hiroshima City), Kyushu Branch (Kikuchi, Kumamoto Prefecture Kikuyo Town)	
	ENG	Place	Head office factory (Oshino Village and Yamanakako Village, Minamitsuru District, Yamanashi Prefecture), Mibu Factory (Mibu Town, Shimotsuga District, Tochigi Prefecture), Tsukuba Factory (Chikusei City), Hayato Factory (Kirishima City)		
	Ken	Repair	Fanuc Academy (Oshino Village, Minamitsuru District, Yamanashi Prefecture)		
Company	Member	Number	Single		4,793 people
			Concatenation		10,113 people
Significant subsidiaries					
FANUC America Corporation, FANUC Europe Corporation Korea Fanuc Corporation, Taiwan Fanuc Corporation, Fanuc India Private Limited, Shanghai Fanuc Robo Machine Co., Ltd., Fanuc Partronics Co., Ltd., Fanuc Servo Co., Ltd.					
Significant affiliated companies					
Beijing Fanuc Mechanical and Electrical Co., Ltd., Shanghai Fanuc Robotics Co., Ltd.					

Stock-related matters (as of March 31, 2025)

Total number of authorized shares		2,000,000,000 shares	
Total number of issued shares		995,418,885 shares	
Stocks	Lord	Number	80,518 people
Major shareholders (top 10)			
Shareholder name		Number of shares held (thousand shares)	Shareholding ratio (%)
Japan Master Trust Bank, Ltd. (trust account)		223,659	24.0
Japan Custody Bank, Ltd. (trust account)		96,899	10.4
Citibank N.A. as Depositary Bank Four Depositary Shareholders		26,141	2.8
JP Morgan Chase Bank 380055		24,638	2.6
State Street Bank and Trust Company 505001		22,138	2.4
State Street Bank West Client Treaty 505234		19,557	2.1
State Street Bank and Trust Company 505103		16,416	1.8
BNWM AS AGIT CLIENTS 10 percent		15,303	1.6
JP Morgan Chase Bank 385781		14,867	1.6
The Bank of New York Mellon 140040		14,836	1.6

*Shareholding ratio is calculated by subtracting treasury stock (62,155,000 shares) from the total number of issued shares

Inclusion in ESG index

- FTSE JPX Blossom Japan Index
(2020~)



- FTSE4Good Global Index
(2021~)



- FTSE JPX Blossom Japan Sector Relative Index
(2022~)



FTSE Russell (registered trademark of FTSE International Limited and Frank Russell Company) is here As a result of a third-party survey, FANUC Corporation ranked FTSE4Good, FTSE JPX Blossom Japan Index and This index meets the requirements for inclusion in and FTSE JPX Blossom Japan Sector Relative Index I hereby certify that the Company has become a constituent stock of S. FTSE JPX Blossom Japan Index is a global index Created by index provider FTSE Russell, it is designed to measure the performance of Japanese companies that have taken specific environmental, social and governance (ESG) actions. FTSE4Good, FTSE JPX Blossom Japan Index and FTSE JPX Blossom Japan Sector Relative Index are widely used to create and evaluate sustainable investment funds and other financial products.

- MSCI Japan ESG Select Leaders Index
(2022~)

2025 CONSTITUENT MSCIジャパン
ESGセレクト・リーダーズ指数

- MSCI Japan SRI Indexes
(2022~)

- S&P/JPX Carbon Efficient Index
(2018~)



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Major evaluations regarding sustainability

- MSCI

Since 2023, FANUC has been awarded AAA in the MSCI ESG rating evaluation.



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- CDP

In 2025, FANUC will focus on climate change and water security
We received an "A" rating in .



- Sustainalytics

In 2025, FANUC Corporation received an ESG risk rating of 26.6, Sustainalytics
The risk of significant financial impact from ESG factors is assessed as medium
I did.



Participation in external initiatives

- Task Force on Climate Change-related Financial Disclosures (TCFD)

In December 2021, we announced our support for the TCFD recommendations.



- SBT Initiative

We have obtained certification from the SBT (Science Based Targets) initiative
for our GHG emission reduction targets by 2030.



Evaluation of innovation

- Clarivate Top100 Global Innovators 2026

In January 2026, global information services company Kura
Clarivate Top 100 Global
Innovator 2026" award. This is the fifth consecutive year that our company has
received this award, and the seventh time in total.

